

China Bubble & Brew

1H26 Preview: Tea brands hit the brakes, Luckin hits the gas

Markets proved perceptive again. Earlier this summer, even as the industry's same-store sales (SSS) only just edged into negative territory, valuations were already sliding sharply (Mixue/Guming down 23%/25% in 2QTD, versus the HSI down 1%). The market sniffed out two things early: **sticky consumer habits** and **rising franchisee anxiety on weaker foot traffic**. The market was right: **Mixue's** slowdown was more evident ([link](#)), and while we anticipated a guidance cut from **Guming**, the magnitude still surprised (FY26 net openings cut by 43%). **Luckin** was the only name that kept sprinting (JPMe: 4.7k net openings in 1H26) - surprised on the upside. We recommend investors revisit Guming towards late 2026 as visibility improves in 4Q (on a cleaner base), given its growth potential and competitiveness remain intact. **New pecking order: Luckin (OW)> Chagee (OW) > Guming (OW)> Mixue (UW)**.

- **From rising tide to split screen.** Unlike last year's "all boats rise" dynamic, we have observed a clear divergence YTD and a slower expansion pace of the "wave riders" - **Guming and Mixue**; we cut FY26 earnings by 5% and 11%, respectively - now 2% and 13% below consensus. We expect 2H to trend weaker than 1H on tougher comps (3Q the toughest) for both (Figure 1). To meet our FY26 estimates, Guming needs to net add another 1.2k stores in 2H26 (vs. +800 in 1H26), and SSS needs to stop getting worse in 3Q (JPMe: MSD decline) and stabilize in 4Q (JPMe: flat).
- **What's changed in consumer habits and franchisee mindset?** Even as Alibaba and Meituan have cut subsidies sharply YTD, consumers are seemingly habituated to ordering via delivery apps. To steer orders to their own channels, brands are pulling multiple levers, including WeChat mini-program discounts, BOGO deals and "dine-in only" offerings. Don't forget the franchisees - the real canaries in the coal mine - the topline pressure typically matters far more than any margin lift from a healthier order mix. We got the impression that existing franchisees are less willing to open a second store and refurbishing older stores feels less urgent - and this might explain the aggressive guidance cut from **Guming**, in our view.
- **Luckin stands out while the industry feels the pain.** In this tug-of-war, franchise-heavy brands are being squeezed from both sides: weakening foot traffic and rising marketing spend. They face a familiar trade-off—step up support (including subsidies and marketing) to keep franchisees motivated, or accept a slower expansion path, or both. If franchisees remain reluctant to open new stores, we see downside risk to 2H26 and outer-year earnings, especially for **Guming and Mixue**; for **Chagee**, downside appears more limited given the market has largely priced in a slower opening pace. **Luckin** stands out, supported by (1) a differentiated model with strong operational control (22k

Consumer

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2026 May 29th, China Consumer: Cheap but unloved – stay selective while waiting for the earnings floor; top picks Nongfu, Anta, Guming ([link](#))

2026 May 29th, Chagee - 1Q26 Signals a Gradual Recovery; Maintain Overweight ([link](#))

2026 Apr 30th, Luckin Coffee: 1Q26 a solid start to the year: margin recovery on track; \$300mn repurchase a positive surprise ([link](#))

Equity Ratings and Price Targets

Company	Ticker	Mkt Cap (\$ mn)	Price CCY	Price	Rating		Price Target			
					Cur	Prev	Cur	End Date	Prev	End Date
Luckin Coffee	LKNCY US	9,746	USD	30.60	OW	n/c	43.00	Jun-27	45.00	Dec-26
Chagee	CHA US	1,861	USD	11.30	OW	n/c	16.50	Jun-27	15.00	Dec-26
Guming - H	1364 HK	5,703	HKD	21.38	OW	n/c	26.00	Jun-27	38.00	Dec-26
Mixue Group - H	2097 HK	10,778	HKD	222.60	UW	n/c	200.00	Jun-27	270.00	Dec-26

Source: Company data, Bloomberg Finance L.P., J.P. Morgan estimates. n/c = no change. All prices as of 20 Jul 26 except for LKNCY US [17 Jul 26] CHA US [17 Jul 26].

See page 39 for analyst certification and important disclosures, including non-US analyst disclosures.

directly operated stores out of 33k total), (2) leading innovation, digitalization, and DTC to support retention, and (3) a structural cost advantage. We see potential earnings inflection for Luckin as early as 2Q26 (JPMe: +3% yoy) or 3Q26 (+32% yoy), and a consensus upgrade might follow post 2Q results.

Figure 1: 1H26/2H26 review at a glance - Luckin & Chagee set to see strong earnings rebound in 2H26; Guming and Mixue might trend slower or weaker into 2H26

Rmb mn	Luckin			Chagee			Guming			Mixue		
	1H26E	2H26E	2026E	1H26E	2H26E	2026E	1H26E	2H26E	2026E	1H26E	2H26E	2026E
Revenue	27,560	33,330	60,890	7,136	6,912	14,048	7,254	8,259	15,513	16,457	19,574	36,031
yoy%	30%	19%	24%	6%	12%	9%	28%	14%	20%	11%	5%	7%
Gross margin	60.8%	61.3%	61.1%	55.3%	55.4%	55.3%	33.0%	33.0%	33.0%	29.3%	27.8%	28.5%
- yoy chg	-0.7pp	-0.9pp	-0.8pp	1.8pp	1.9pp	1.8pp	1.5pp	-1.1pp	0.0pp	-2.3pp	-2.9pp	-2.6pp
Adj. operating Profit	2,388	3,610	5,997	999	732	1,731	1,658	1,903	3,560	3,213	3,480	6,693
yoy%	-2%	37%	18%	8%	75%	29%	41%	6%	20%	-3%	-11%	-7%
Adj. OPM	8.7%	10.8%	9.8%	14.0%	10.6%	12.3%	22.8%	23.0%	22.9%	19.5%	17.8%	18.6%
- yoy chg	-2.8pp	1.4pp	-0.4pp	0.2pp	3.8pp	1.9pp	2.1pp	-1.7pp	-0.1pp	-2.8pp	-3.2pp	-3.0pp
Adj. Net Profit	2,128	3,097	5,225	910	964	1,874	1,501	1,726	3,227	2,660	2,829	5,490
yoy%	4%	44%	25%	-30%	62%	-1%	32%	10%	19%	-2%	-15%	-9%
Adj. Net Margin	7.7%	9.3%	8.6%	12.8%	13.9%	13.3%	20.7%	20.9%	20.8%	16.2%	14.5%	15.2%
- yoy chg	-1.9pp	1.6pp	0.1pp	-6.6pp	4.3pp	-1.3pp	0.6pp	-0.8pp	-0.2pp	-2.0pp	-3.4pp	-2.8pp

Source: J.P. Morgan estimates.

Revenue Estimate Changes

Rmb in millions		FY26E			FY27E		
Company	BBG Ticker	Prev	Cur	Δ	Prev	Cur	Δ
Luckin Coffee	LKNCY US	60,172	60,890	1.19%	66,836	67,993	1.73%
Chagee	CHA US	13,837	14,048	1.52%	15,404	15,627	1.45%
Guming - H	1364 HK	16,312	15,513	(4.9%)	19,103	17,373	(9.06%)
Mixue Group - H	2097 HK	36,878	36,031	(2.3%)	39,134	37,894	(3.17%)

Source: Bloomberg Finance L.P., J.P. Morgan estimates.

Gross margin Estimate Changes

		FY26E			FY27E		
Company	BBG Ticker	Prev	Cur	Δ	Prev	Cur	Δ
Luckin Coffee	LKNCY US	61.1%	61.1%	(0.05%)	60.7%	60.7%	(0.02%)
Chagee	CHA US	55.5%	55.3%	(0.28%)	55.5%	55.5%	-
Guming - H	1364 HK	33.0%	33.0%	-	33.0%	33.0%	-
Mixue Group - H	2097 HK	30.0%	28.5%	(5%)	30.0%	28.3%	(5.67%)

Source: Bloomberg Finance L.P., J.P. Morgan estimates.

Adj. net income Estimate Changes

Rmb in millions		FY26E			FY27E		
Company	BBG Ticker	Prev	Cur	Δ	Prev	Cur	Δ
Luckin Coffee	LKNCY US	5,167	5,225	1.13%	6,183	6,281	1.58%
Chagee	CHA US	1,842	1,874	1.73%	2,003	2,058	2.75%
Guming - H	1364 HK	3,404	3,227	(5.2%)	3,981	3,607	(9.41%)
Mixue Group - H	2097 HK	6,151	5,490	(10.76%)	6,561	5,772	(12.03%)

Source: Bloomberg Finance L.P., J.P. Morgan estimates.

Adj. P/E Estimate Changes

		FY26E			FY27E		
Company	BBG Ticker	Prev	Cur	Δ	Prev	Cur	Δ
Luckin Coffee	LKNCY US	13.0	12.9	(1.12%)	10.9	10.7	(1.56%)
Chagee	CHA US	7.4	7.8	5.16%	7.4	6.8	(6.99%)
Guming - H	1364 HK	12.8	13.5	5.49%	10.9	12.1	10.38%
Mixue Group - H	2097 HK	11.9	13.3	12.06%	11.1	12.7	13.68%

Source: Bloomberg Finance L.P., J.P. Morgan estimates.

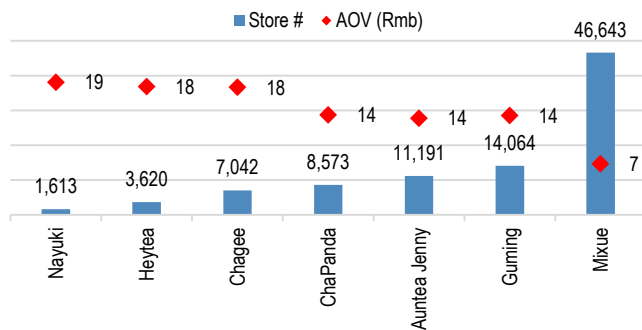
Focus Charts

Figure 2: 2026 YTD store net openings comparison - Luckin ahead of the pack

Bubble tea	Nayuki	Heytea	Chagee	ChaPanda	Auntea Jenny	Guming	Mixue
1Q26	49	-26	134	464	638	636	2,276
2Q26	-6	-237	-48	166	801	349	2,251
1H26	43	-263	86	630	1,439	985	4,527
Coffee	%Arabica	Peet's	Starbucks	Manner	Lucky Cup	Cotti	Luckin
1Q26	-2	10	100	186	1,577	1,017	2,501
2Q26	0	0	39	80	87	254	3,333
1H26	-2	10	139	266	1,664	1,271	5,834

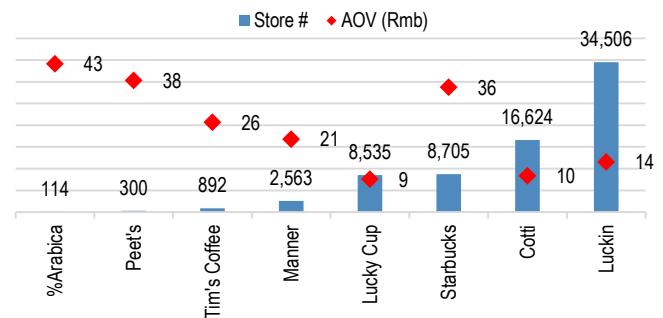
Source: Zhaimen, J.P. Morgan.

Figure 3: Store count vs average ticket size – tea brands



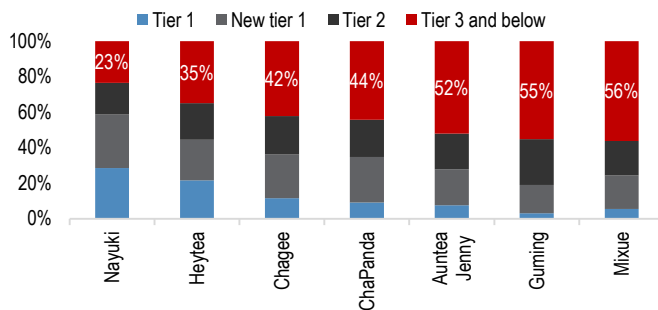
Note: As of end-Jun 2026.
Source: Zhaimen, J.P. Morgan.

Figure 4: Store count vs average ticket size – coffee brands



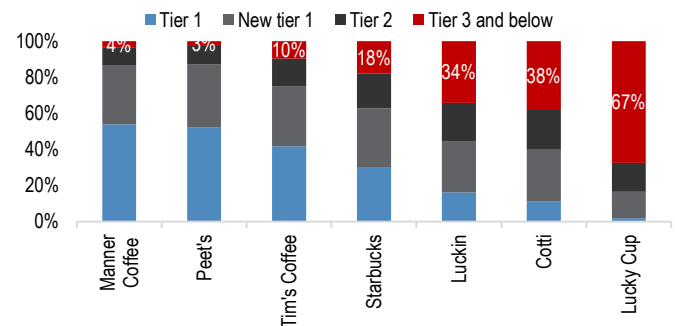
Note: As of end-Jun 2026.
Source: Zhaimen, J.P. Morgan.

Figure 5: Store distribution by city tier – tea brands



Note: As of end-Jun 2026.
Source: Zhaimen, J.P. Morgan.

Figure 6: Store distribution by city tier – coffee brands



Note: As of end-Jun 2026.
Source: Zhaimen, J.P. Morgan.

Figure 7: Key operating metrics and financial comparison

Rmb mn	Luckin				Guming				Mixue				Chagee			
	2024	2025	2026e	2027e	2024	2025	2026e	2027e	2024	2025	2026e	2027e	2024	2025	2026e	2027e
Store network																
Total store #	22,340	31,048	37,796	41,296	9,914	13,554	15,554	18,554	46,479	59,823	63,323	67,523	6,440	7,453	7,853	8,583
YoY%	37%	39%	22%	9%	10%	37%	15%	19%	24%	29%	6%	7%	83%	16%	5%	9%
Franchise store #	7,749	10,814	13,469	15,044	9,907	13,546	15,545	18,544	46,462	59,785	63,285	67,485	6,271	6,838	6,913	7,613
Directly-operated store #	14,591	20,234	24,327	26,252	7	8	9	10	17	38	38	38	169	615	940	970
Net open YoY	6,092	8,708	6,748	3,500	913	3,640	2,000	3,000	8,914	13,344	3,500	4,200	2,929	1,013	400	730
Franchise store #	2,129	3,065	2,655	1,575	912	3,639	1,999	2,999	8,946	13,323	3,500	4,200	2,799	567	75	700
Directly-operated store #	3,963	5,643	4,093	1,925	1	1	1	1	-32	21	0	0	130	446	325	30
Store-level operating metrics																
Avg daily cups sold	421	423	407	403	384	456	447	438	590	627	574	572	837	521	469	469
YoY%	-1%	0%	-4%	-1%	-8%	19%	-2%	-2%	-3%	6%	-8%	0%	5%	-38%	-10%	0%
ASP per cup (Rmb)	13.2	13.5	13.5	13.4	16.9	17.1	16.8	16.6	6.4	6.4	6.4	6.3	20.4	21.8	21.8	21.8
YoY%	-7%	2%	0%	-1%	4%	1%	-2%	-1%	0%	-1%	1%	-1%	1%	7%	0%	0%
Daily GMV (Rmb)	5,545	5,703	5,490	5,381	6,500	7,800	7,529	7,268	3,799	3,985	3,678	3,624	17,057	11,386	10,247	10,247
YoY%	-8%	3%	-4%	-2%	-4%	20%	-3%	-3%	-4%	5%	-8%	-1%	6%	-33%	-10%	0%
SSSG	-16.7%	7.5%			-1.5%	20.0%			not disclosed				2.7%	-23.8%		
Revenue breakdown																
Total revenue	34,475	49,288	60,890	67,993	8,791	12,914	15,513	17,373	24,829	33,560	36,031	37,894	12,406	12,907	14,048	15,627
- Sales of goods	5,539	6,959	8,847	10,229	6,563	9,320	11,827	13,300	23,452	31,439	33,685	35,378	10,789	10,440	9,143	10,050
- Sales of equipment	588	861	676	401	465	949	639	801	756	1,327	1,393	1,421	9,891	10,083	9,096	9,609
- Franchise management	1,618	3,773	4,941	5,715	1,750	2,628	3,031	3,257	620	794	953	1,096	898	357	47	441
- Revenue from direct-operated stores	26,730	37,694	46,426	51,648	14	16	16	15	-	-	-	-	843	977	967	1,021
YoY change	38%	43%	24%	12%	15%	47%	20%	12%	22%	35%	7%	5%	167%	4%	9%	11%
- Sales of goods	33%	26%	27%	16%	14%	42%	27%	12%	22%	34%	7%	5%	160%	-3%	-12%	10%
- Sales of equipment	-33%	46%	-21%	-41%	27%	104%	-33%	25%	3%	75%	5%	2%	176%	2%	-10%	6%
- Franchise management	36%	133%	31%	16%	15%	50%	15%	7%	53%	28%	20%	15%	59%	-60%	-87%	833%
- Revenue from direct-operated stores	43%	41%	23%	11%	16%	15%	-3%	-3%	-	-	-	-	240%	16%	-1%	6%
% of total																
- Sales of goods	16%	14%	15%	15%	75%	72%	76%	77%	94%	94%	93%	93%	87%	81%	65%	64%
- Sales of equipment	2%	2%	1%	1%	5%	7%	4%	5%	3%	4%	4%	4%	80%	78%	65%	61%
- Franchise management	5%	8%	8%	8%	20%	20%	20%	19%	2%	2%	3%	3%	7%	3%	0%	3%
- Revenue from direct-operated stores	78%	76%	76%	76%	0%	0%	0%	0%	-	-	-	-	7%	8%	7%	7%
Margin profile																
Gross margin	59.1%	61.9%	61.1%	60.7%	30.6%	33.0%	33.0%	33.0%	32.5%	31.1%	28.5%	28.3%	49.6%	53.5%	55.3%	55.5%
- yoy chg	2.9%	2.7%	-0.8%	-0.4%	-0.7%	2.4%	0.0%	0.0%	2.9%	-1.3%	-2.6%	-0.2%	4.8%	3.9%	1.8%	0.2%
Total Opex	7,162	12,531	13,346	14,236	1,023	1,291	1,560	1,747	2,459	3,220	3,576	3,685	2,222	3,813	3,027	3,257
Selling & distribution expenses	4,741	9,474	5,295	6,077	479	703	853	956	1,599	2,037	2,306	2,349	1,109	1,363	1,285	1,427
Admin expenses	2,420	3,057	8,051	8,159	311	365	438	491	755	1,082	1,161	1,221	1,113	2,450	1,742	1,830
R&D expenses					233	223	268	300	105	101	109	114				
Total Opex as % of revenue	21%	25%	22%	21%	12%	10%	10%	10%	10%	10%	10%	10%	18%	30%	22%	21%
Selling & distribution expenses	14%	19%	9%	9%	5%	5%	6%	6%	6%	6%	6%	6%	9%	11%	9%	9%
Admin expenses	7%	6%	13%	12%	4%	3%	3%	3%	3%	3%	3%	3%	9%	19%	12%	12%
R&D expenses					3%	2%	2%	2%	0%	0%	0%	0%				
Core EBIT	3,570	5,073	5,997	7,533	1,664	2,971	3,560	3,987	5,601	7,232	6,693	7,039	2,887	1,347	1,731	1,963
YoY%	18%	42%	18%	26%	5%	79%	20%	12%	41%	29%	-7%	5%	169%	-53%	29%	13%
EBIT margin	10.4%	10.3%	9.8%	11.1%	18.9%	23.0%	22.9%	22.9%	22.6%	21.5%	18.6%	18.6%	23.3%	10.4%	12.3%	12.6%
- yoy chg	-1.8%	-0.1%	-0.4%	1.2%	-1.7%	4.1%	-0.1%	0.0%	2.9%	-1.0%	-3.0%	0.0%	0.1%	-12.8%	1.9%	0.2%
Adjusted net profit	3,311	4,196	5,225	6,281	1,552	2,706	3,227	3,607	4,519	6,037	5,490	5,772	2,517	1,895	1,874	2,058
YoY%	4%	27%	25%	20%	8%	74%	19%	12%	41%	34%	-9%	5%	174%	-25%	-1%	10%
Net margin	9.6%	8.5%	8.6%	9.2%	17.6%	21.0%	20.8%	20.8%	18.2%	18.0%	15.2%	15.2%	20.3%	14.7%	13.3%	13.2%
- yoy chg	-3.1%	-1.1%	0.1%	0.7%	-1.1%	3.3%	-0.2%	0.0%	2.4%	-0.2%	-2.8%	0.0%	0.5%	-5.6%	-1.3%	-0.2%

Source: J.P. Morgan estimates, Company data.

Figure 8: Earnings revisions and share price performance

Company name	BBG	Price	Mkt Cap	Net profit YoY		NP CAGR	FY26 sales revisions			FY26 NP revisions			Share performance		
	Ticker	(LC)	(USDmn)	2026E	2027E	25-27E	1Q26	2QTD	YTD	1Q26	2QTD	YTD	1M	3M	YTD
FMD															
Luckin Coffee	LKNCY US	30.6	8,760	33.3%	26.2%	29.7%	0%	2%	2%	-7%	1%	-6%	0%	-8%	-9%
Chagee	CHA US	11.3	2,156	50.8%	9.1%	28.3%	-2%	-6%	-8%	-4%	-14%	-17%	-3%	9%	-3%
Guming	1364 HK	21.4	6,485	23.3%	19.2%	21.2%	12%	2%	14%	20%	3%	23%	0%	-16%	-14%
Mixue Group	2097 HK	222.6	10,777	7.1%	13.0%	10.0%	0%	0%	0%	-4%	-1%	-5%	-12%	-24%	-46%
Auntea Jenny	2589 HK	91.0	1,221	19.4%	15.8%	17.6%	5%	1%	6%	-2%	1%	-1%	-35%	-10%	6%
Baicha Baidao	2555 HK	4.9	914	21.1%	13.3%	17.1%	1%	-1%	0%	-2%	-4%	-6%	0%	-16%	-26%
Simple average				25.8%	16.1%	20.7%	3%	0%	2%	0%	-2%	-2%	-8%	-11%	-15%

Prices as of 17 Jul 2026 for Luckin & Chagee (non-Asia stock) and 20 Jul 2026 for others.
Source: Bloomberg Finance L.P.

Figure 9: China FMD valuation comps table

Company	BBG ticker	Rating	MCap USDmn	Avg TO USDmn	Price (LC)	TP (LC)	Up/(dn) side	EPS cagr 25-27e	P/E (x)		PEG(x)		Div yield (%)	
									2026E	2027E	2026E	2027E	2026E	2027E
FMD														
Mixue	2097 HK	UW	10,777	20	222.60	200.00	-10%	10%	13.3	12.7	n.m.	2.5	0.0	2.4
Luckin	LKNCY US	OW	8,760	57	30.60	43.00	41%	22%	12.9	10.7	0.5	0.6	0.0	0.0
Guming	1364 HK	OW	6,485	19	21.38	26.00	22%	37%	13.5	12.1	0.7	1.1	3.8	4.3
Chagee	CHA US	OW	2,156	8	11.30	16.50	46%	22%	7.8	6.8	0.7	2.7	6.5	7.4
Baicha Baidao	2555 HK	NC	914	2	4.85	n.a.	n.a.	17%	6.8	6.0	0.3	0.5	10.0	11.5
Auntea Jenny	2589 HK	NC	1,221	4	91.00	n.a.	n.a.	17%	14.2	12.1	0.9	0.7	3.3	2.8
Simple average									11.4	10.1	0.6	1.3	3.9	4.7
Market cap weighted average									12.7	11.3	0.4	1.5	1.7	2.8

Prices as of 17 Jul 2026 for Luckin & Chagee (non-Asia stocks) and 20 Jul 2026 for others; NC = not covered.
Source: Bloomberg Finance L.P. estimates, J.P. Morgan estimates.

Overweight

LKNCY, LKNCY US

Price (17 Jul 26):\$30.60

▼ **Price Target (Jun-27):\$43.00**

Prior (Dec-26):\$45.00

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Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	15	25	36		54
Growth	15	14	16	94	90
Momentum	38	54	3	4	11
Quality	27	29	23	57	100
Low Vol	78	83	90	97	100

Luckin Coffee

2Q26 preview: Running through the rain

2Q26 may mark an earnings inflection for Luckin. Recall that last year, delivery subsidies boosted Luckin's revenue scale but significantly diluted margins. In 2026 YTD, third-party delivery subsidies appear to be unwinding faster than the industry had expected. To retain customers and migrate them back to 1P channels, Luckin has stepped up dine-in offerings and promotions, including "a whole coconut", and has expanded the availability of specialty coffee across more stores. **Luckin maintained a fast expansion pace during the quarter (JPM: +2.2k to a total of 35.8k), while key competitors such as Cotti, Lucky Cup, Mixue and Guming have started to slow down.** Our positive thesis remains anchored by (1) an early-mover advantage and leading coffee market share, (2) a structural cost advantage, and (3) multi-engine growth potential across premium/specialty coffee, RTD, and overseas markets. Luckin remains one of our top picks in the China FMD space.

- **What's new in 2Q26.** In April, Luckin's smart roasting center in Qingdao commenced operations, adding annual roasting capacity of 55k+ tons with total investment of ~Rmb3bn. In the same month, Luckin officially announced Yibo Wang as the global brand ambassador for Luckin Coffee Instant (its RTD business). In May, Luckin launched a special Americano nationwide, signaling the shift of its fresh fruit-based beverage business from small-scale testing to a national rollout; the company also launched two specialty alcoholic drinks nationwide, marking its entry into the "slight buzz" segment. Luckin also partnered with Team Spain and Team Portugal for the 2026 FIFA World Cup.
- **Competition is easing, not intensifying.** Among coffee retailers, Cotti stopped accepting franchise applications in provincial capitals starting in March, and Manner raised its SOE espresso drink prices by Rmb5 (20–25%) in April, from Rmb20–25 to Rmb25–30. Even as more bubble tea brands introduce coffee offerings, we believe Luckin is still gaining share - not only within coffee, but also across the broader freshly-made beverage category. As of May 31, 2026, cumulative sales of Luckin's non-coffee beverages exceeded Rmb20bn, with 22 star products each surpassing 100mn cups sold - among which its light Jasmine Milk Tea saw sales of more than 400mn cups.
- **2Q26 preview and valuation.** Store expansion pace remained fast at +2.2k (JPM) in 2Q26 (vs 2.5k in 1Q26). We forecast 2Q26 revenue at Rmb15.6bn (+26% yoy) and gross margin at 61.8% (-1.0pp yoy). With the delivery mix normalizing to above 30% (slightly higher yoy), we estimate Luckin's 2Q26 non-GAAP net earnings to be Rmb1.4bn, +3% yoy. Our PT of US\$43 is based on a target 2027E P/E of 15x, in line with the target we use for Luckin's key competitor Guming. The stock has traded at a 16x 12-month rolling P/E on average since 2022.

Figure 10: 2Q26 preview: running through the rain

FYE Dec 31 (Rmb mn)	2025	2026E	YoY	2Q25	1Q26	2Q26E	YoY
Net revenues	49,288	60,890	24%	12,359	11,995	15,565	26%
1. Revenues from product sales	37,694	46,426	23%	9,491	8,980	11,917	26%
- Revenues from self-operated stores	36,243	44,649	23%	9,136	8,592	11,471	26%
2. Revenues from partnership stores	11,594	14,464	25%	2,867	3,015	3,647	27%
Cost of materials	(18,783)	(23,696)	26%	(4,601)	(4,854)	(5,946)	29%
Gross profit	30,505	37,194	22%	7,758	7,142	9,619	24%
<i>Gross margin</i>	<i>61.9%</i>	<i>61.1%</i>	<i>-0.8pp</i>	<i>62.8%</i>	<i>59.5%</i>	<i>61.8%</i>	<i>-1.0pp</i>
Store rental and other operating costs	(11,242)	(13,638)	21%	(2,665)	(3,061)	(3,255)	22%
Delivery expenses	(6,879)	(8,051)	17%	(1,670)	(1,308)	(2,335)	40%
Depreciation and amortization expenses	(1,557)	(1,880)	21%	(375)	(452)	(473)	26%
Sales and marketing expenses	(2,596)	(3,415)	32%	(592)	(732)	(824)	39%
General and administrative expenses	(3,057)	(4,105)	34%	(736)	(851)	(1,039)	41%
Store preopening and other expenses	(85)	(107)	26%	(18)	(22)	(23)	26%
Delivery cost as % of revenue	14%	13%	-0.7pp	14%	11%	15%	1.5pp
Other opex (ex-delivery) as % of revenue	38%	38%	0.4pp	35%	43%	36%	0.6pp
Operating income	5,073	5,997	18%	1,700	716	1,672	-2%
<i>Operating margin</i>	<i>10.3%</i>	<i>9.8%</i>	<i>-0.4pp</i>	<i>13.8%</i>	<i>6.0%</i>	<i>10.7%</i>	<i>-3.0pp</i>
Interest income	189	253		43	48	48	
Foreign exchange (loss) gain, net	(27)	(11)		(6)	(11)	-	
Other (expenses)/income, net	81	19		43	19	-	
Income before income taxes	5,280	6,258	19%	1,780	772	1,720	-3%
Income tax expense	(1,680)	(2,131)	27%	(530)	(266)	(585)	10%
<i>Effective tax rate</i>	<i>31.8%</i>	<i>34.1%</i>	<i>2.2pp</i>	<i>29.8%</i>	<i>34.4%</i>	<i>34.0%</i>	<i>4.2pp</i>
Net income to ordinary shareholders	3,600	4,127	15%	1,250	506	1,135	-9%
Non-GAAP operating income	5,646	7,097	26%	1,855	898	1,978	7%
<i>Non-GAAP OP margin</i>	<i>11.5%</i>	<i>11.7%</i>	<i>0.2pp</i>	<i>15.0%</i>	<i>7.5%</i>	<i>12.7%</i>	<i>-2.3pp</i>
Non-GAAP net income	4,196	5,225	25%	1,399	686	1,441	3%
<i>Non-GAAP net margin</i>	<i>8.5%</i>	<i>8.6%</i>	<i>0.1pp</i>	<i>11.3%</i>	<i>5.7%</i>	<i>9.3%</i>	<i>-2.1pp</i>
Non-GAAP net income per share							
Basic (Rmb)	1.64	2.02	23%	0.55	0.27	0.56	2%
Diluted (Rmb)	1.63	2.02	23%	0.55	0.26	0.56	2%
Non-GAAP net income per ADS							
Basic (Rmb)	13.09	16.16	23%	4.36	2.12	4.46	2%
Diluted (Rmb)	13.07	16.13	23%	4.36	2.12	4.45	2%

Source: J.P. Morgan estimates, Company data.

Earnings forecasts

Figure 11: Key assumptions and operating metrics

FYE Dec 31 (Rmb mn)	2023	2024	2025	2026E	2027E	2028E	25-28E CAGR	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26E	3Q26E	4Q26E
Store count															
Total number of stores	16,248	22,340	31,048	37,796	41,296	44,796	13%	24,097	26,206	29,214	31,048	33,596	35,796	36,896	37,796
Self-operated stores	10,628	14,591	20,234	24,327	26,252	28,177	12%	15,598	16,968	18,882	20,234	21,807	23,127	23,787	24,327
Partnership stores	5,620	7,749	10,814	13,469	15,044	16,619	15%	8,499	9,238	10,332	10,814	11,789	12,669	13,109	13,469
China	16,218	22,289	30,888	37,556	40,976	44,396		24,032	26,117	29,096	30,888	33,419			
Overseas	30	51	160	240	320	400		65	89	118	160	177			
Total net addition	8,034	6,092	8,708	6,748	3,500	3,500		1,757	2,109	3,008	1,834	2,548	2,200	1,100	900
Self-operated stores	4,976	3,963	5,643	4,093	1,925	1,925		1,007	1,370	1,914	1,352	1,573	1,320	660	540
Partnership stores	3,058	2,129	3,065	2,655	1,575	1,575		750	739	1,094	482	975	880	440	360
China	8,004	6,071	8,599	6,668	3,420	3,420		1,743	2,085	2,979	1,792	2,531			
Overseas	30	21	109	80	80	80		14	24	29	42	17			
Single store drivers															
<i>Self-operated stores</i>															
Average daily cups sold	426	421	423	407	403	399		356	455	495	399	336	414	451	387
YoY	19.5%	-1.1%	0.5%	-3.9%	-1.0%	-1.0%		6.4%	9.5%	7.6%	-4.7%	-5.7%	-9.0%	-9.0%	-3.0%
ASP per cup (Rmb)	14.1	13.2	13.5	13.5	13.4	13.3		13.4	13.6	13.6	13.3	13.5	13.6	13.6	13.3
YoY	-5.6%	-6.8%	2.3%	0.2%	-1.0%	-0.5%		1.7%	3.0%	3.4%	1.0%	1.0%	0.0%	0.0%	0.0%
Daily GMV (Rmb)	6,018	5,545	5,703	5,490	5,381	5,301		4,770	6,166	6,719	5,306	4,542	5,611	6,114	5,147
YoY	12.8%	-7.9%	2.8%	-3.7%	-2.0%	-1.5%		8.2%	12.9%	11.2%	-3.8%	-4.8%	-9.0%	-9.0%	-3.0%
Store-level OP margin	22.2%	18.9%	17.8%					17.1%	21.0%	17.5%	15.0%	13.6%			
Group non-GAAP OP margin	13.1%	11.4%	11.5%	11.7%	12.7%	13.7%		9.7%	15.0%	12.6%	7.5%	7.5%	12.7%	14.7%	10.3%
Financials															
Total net revenue	24,903	34,475	49,288	60,890	67,993	72,592	14%	8,865	12,359	15,287	12,777	11,995	15,565	17,923	15,407
Revenues from product sales	18,677	26,730	37,694	46,426	51,648	54,748	13%	6,785	9,491	11,488	9,930	8,980	11,917	13,681	11,848
Revenues from partnership stores	6,226	7,745	11,594	14,464	16,345	17,844	15%	2,081	2,867	3,799	2,847	3,015	3,647	4,243	3,559
YoY	87%	38%	43%	24%	12%	7%		41%	47%	50%	33%	35%	26%	17%	21%
Revenues from product sales	83%	43%	41%	23%	11%	6%	-47%	42%	45%	47%	31%	32%	26%	19%	19%
Revenues from partnership stores	103%	24%	50%	25%	13%	9%	-43%	38%	55%	62%	39%	45%	27%	12%	25%
Gross profit	14,011	20,392	30,505	37,194	41,289	44,049	13%	5,290	7,758	9,747	7,669	7,142	9,619	11,292	9,142
YoY	73%	46%	50%	22%	11%	7%		59%	54%	56%	33%	35%	24%	16%	19%
Gross margin	56.3%	59.1%	61.9%	61.1%	60.7%	60.7%		59.7%	62.8%	63.8%	60.0%	59.5%	61.8%	63.0%	59.3%
Operating income	3,026	3,570	5,073	5,997	7,533	8,818	20%	735	1,700	1,777	821	716	1,672	2,324	1,285
YoY	162%	18%	42%	18%	26%	17%		-1233%	62%	13%	-18%	-3%	-2%	31%	56%
Operating margin	12.2%	10.4%	10.3%	9.8%	11.1%	12.1%		8.3%	13.8%	11.6%	6.4%	6.0%	10.7%	13.0%	8.3%
Reported net profit	2,848	2,956	3,600	4,127	5,181	6,117	19%	524	1,250	1,278	518	506	1,135	1,566	920
YoY	483%	4%	22%	15%	26%	18%		-731%	44%	-3%	-39%	-3%	-9%	22%	77%
Net margin	11.4%	8.6%	7.3%	6.8%	7.6%	8.4%		5.9%	10.1%	8.4%	4.1%	4.2%	7.3%	8.7%	6.0%
Non-GAAP net profit	3,174	3,311	4,196	5,225	6,281	7,217	20%	648	1,399	1,421	699	686	1,441	1,872	1,226
YoY	203%	4%	27%	25%	20%	15%			44%	1%	-25%	6%	3%	32%	75%
Non-GAAP net margin	12.7%	9.6%	8.5%	8.6%	9.2%	9.9%		7.3%	11.3%	9.3%	5.5%	5.7%	9.3%	10.4%	8.0%
Non-GAAP EPADS, diluted	10.03	10.39	13.07	16.13	19.39	22.28	19%	2.02	4.36	4.40	2.18	2.12	4.45	5.78	3.78

Source: J.P. Morgan estimates, Company data.

Figure 12: Key assumptions and forecast revisions

FYE Dec 31 (Rmb mn)	New			Previous			Change		
	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E
Total store count	37,796	41,296	44,796	37,196	40,696	44,196	1.6%	1.5%	1.4%
- Self-operated stores	24,327	26,252	28,177	23,967	25,892	27,817	1.5%	1.4%	1.3%
- Partnership stores	13,469	15,044	16,619	13,229	14,804	16,379	1.8%	1.6%	1.5%
Net revenues	60,890	67,993	72,592	60,172	66,836	71,439	1.2%	1.7%	1.6%
YoY	24%	12%	7%	22%	11%	7%	1.5pp	0.6pp	-0.1pp
1. Revenues from product sales	46,426	51,648	54,748	45,944	50,793	53,898	1.1%	1.7%	1.6%
2. Revenues from partnership stores	14,464	16,345	17,844	14,228	16,042	17,542	1.7%	1.9%	1.7%
Cost of materials	(23,696)	(26,703)	(28,542)	(23,399)	(26,242)	(28,084)	1.3%	1.8%	1.6%
Gross profit	37,194	41,289	44,049	36,773	40,593	43,355	1.1%	1.7%	1.6%
<i>Gross margin</i>	<i>61.1%</i>	<i>60.7%</i>	<i>60.7%</i>	<i>61.1%</i>	<i>60.7%</i>	<i>60.7%</i>	<i>0.0pp</i>	<i>0.0pp</i>	<i>0.0pp</i>
Store rental and other operating costs	(13,638)	(14,901)	(15,901)	(13,501)	(14,654)	(15,654)	1.0%	1.7%	1.6%
Depreciation and amortization expenses	(1,880)	(2,099)	(2,241)	(1,859)	(2,065)	(2,207)	1.1%	1.7%	1.5%
Sales and marketing expenses	(3,415)	(3,978)	(4,247)	(3,375)	(3,910)	(4,179)	1.2%	1.7%	1.6%
Delivery expenses	(8,051)	(8,159)	(7,985)	(7,952)	(8,020)	(7,858)	1.2%	1.7%	1.6%
General and administrative expenses	(4,105)	(4,500)	(4,730)	(4,071)	(4,442)	(4,672)	0.8%	1.3%	1.2%
Store preopening and other expenses	(107)	(120)	(128)	(106)	(118)	(126)	1.2%	1.7%	1.6%
Total operating expenses	(54,893)	(60,460)	(63,773)	(54,264)	(59,451)	(62,780)	1.2%	1.7%	1.6%
Operating income	5,997	7,533	8,818	5,908	7,385	8,659	1.5%	2.0%	1.8%
YoY	18%	26%	17%	16%	25%	17%	1.8pp	0.6pp	-0.2pp
<i>Operating margin</i>	<i>9.8%</i>	<i>11.1%</i>	<i>12.1%</i>	<i>9.8%</i>	<i>11.0%</i>	<i>12.1%</i>	<i>0.0pp</i>	<i>0.0pp</i>	<i>0.0pp</i>
Interest income, net	253	324	458	254	324	455	-0.3%	0.0%	0.6%
Income tax expense	(2,131)	(2,675)	(3,159)	(2,101)	(2,625)	(3,104)	1.4%	1.9%	1.8%
Reported net income	4,127	5,181	6,117	4,069	5,083	6,011	1.4%	1.9%	1.8%
<i>Net margin</i>	<i>6.8%</i>	<i>7.6%</i>	<i>8.4%</i>	<i>6.8%</i>	<i>7.6%</i>	<i>8.4%</i>	<i>0.0pp</i>	<i>0.0pp</i>	<i>0.0pp</i>
Non-GAAP net income	5,225	6,281	7,217	5,167	6,183	7,111	1.1%	1.6%	1.5%
YoY	25%	20%	15%	23%	20%	15%	1.4pp	0.5pp	-0.1pp
<i>Non-GAAP net margin</i>	<i>8.6%</i>	<i>9.2%</i>	<i>9.9%</i>	<i>8.6%</i>	<i>9.3%</i>	<i>10.0%</i>	<i>0.0pp</i>	<i>0.0pp</i>	<i>0.0pp</i>

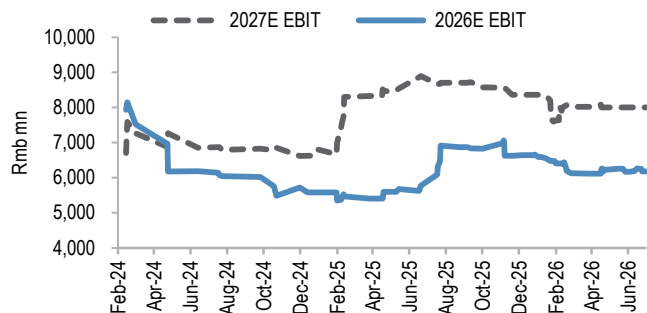
Source: J.P. Morgan estimates.

Figure 13: JPMe vs Bloomberg consensus

FYE Dec 31 (Rmb mn)	JPMe			Bloomberg consensus			JPMe vs consensus		
	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E
Revenue	60,890	67,993	72,592	60,735	70,327	78,674	0.3%	-3.3%	-7.7%
YoY	23.5%	11.7%	6.8%	20.8%	15.8%	11.9%	2.7pp	-4.1pp	-5.1pp
<i>Gross margin</i>	<i>61.1%</i>	<i>60.7%</i>	<i>60.7%</i>	<i>60.0%</i>	<i>59.7%</i>	<i>59.5%</i>	<i>1.1pp</i>	<i>1.0pp</i>	<i>1.2pp</i>
Operating profit	5,997	7,533	8,818	6,172	7,975	9,635	-2.8%	-5.5%	-8.5%
YoY	18.2%	25.6%	17.1%	16.2%	29.2%	20.8%	2.0pp	-3.6pp	-3.7pp
<i>Operating margin</i>	<i>9.8%</i>	<i>11.1%</i>	<i>12.1%</i>	<i>10.2%</i>	<i>11.3%</i>	<i>12.2%</i>	<i>-0.3pp</i>	<i>-0.3pp</i>	<i>-0.1pp</i>
Non-GAAP net profit	5,225	6,281	7,217	4,820	6,083	7,272	8.4%	3.3%	-0.8%
YoY	24.5%	20.2%	14.9%	18.0%	26.2%	19.5%	6.5pp	-6.0pp	-4.6pp
<i>Non-GAAP net margin</i>	<i>8.6%</i>	<i>9.2%</i>	<i>9.9%</i>	<i>7.9%</i>	<i>8.7%</i>	<i>9.2%</i>	<i>0.6pp</i>	<i>0.6pp</i>	<i>0.7pp</i>
Non-GAAP EPADS, basic (Rmb)	16.16	19.43	22.32	14.01	16.63	23.03	15.3%	16.8%	-3.1%
YoY	23.5%	20.2%	14.9%	10.0%	18.6%	38.5%	13.5pp	1.6pp	-23.6pp

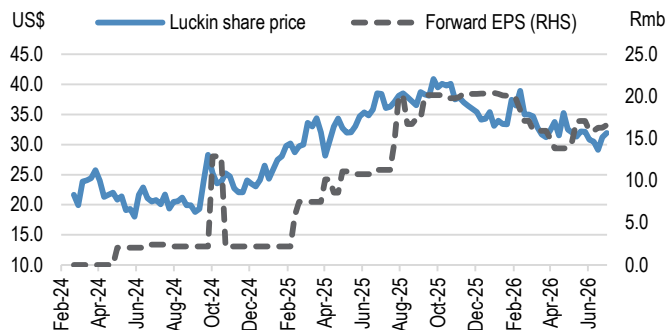
Source: J.P. Morgan estimates, Bloomberg Finance L.P. estimates.

Figure 14: Consensus EBIT revisions



Source: Bloomberg Finance L.P. estimates.

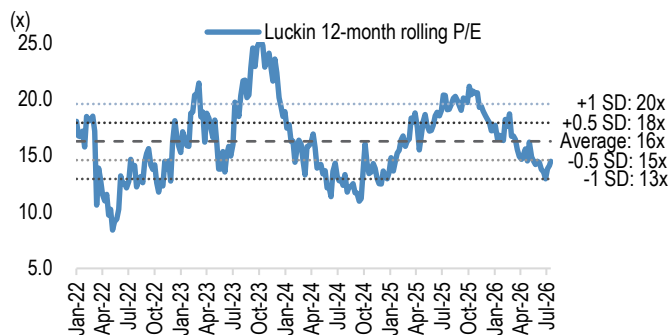
Figure 15: Share price vs consensus forward EPS



Source: Bloomberg Finance L.P. estimates.

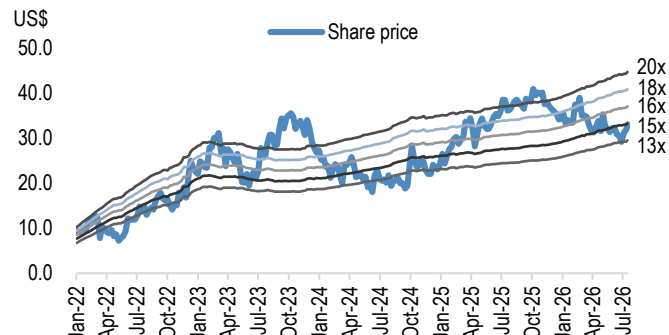
Valuation charts

Figure 16: 12-month rolling P/E



Source: J.P. Morgan estimates, Bloomberg Finance L.P.

Figure 17: 12-month rolling P/E band chart



Source: J.P. Morgan estimates, Bloomberg Finance L.P.

Price Performance



Company Data

Shares O/S (mn)	319
52-week range (\$)	43.64-27.22
Market cap (\$ mn)	9,746
Exchange rate	1.00
Free float (%)	-
3M ADV (mn)	1.19
3M ADV (\$ mn)	38.2
Volatility (90 Day)	51
Index	-
BBG ANR (Buy Hold Sell)	18 1 0

Key Metrics (FYE Dec)

Rmb in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	49,288	60,890	67,993	72,592
Adj. EBITDA	6,630	7,877	9,632	11,059
Adj. EBIT	5,646	7,097	8,633	9,918
Adj. net income	4,196	5,225	6,281	7,217
Adj. EPS	13.07	16.13	19.39	22.28
BBG EPS	12.74	14.01	16.63	23.03
Cashflow from operations	6,091	6,023	7,203	8,022
FCFF	3,467	4,082	6,290	7,109
Margins and Growth				
Revenue Growth Y/Y (%)	43.0%	23.5%	11.7%	6.8%
Gross margin	61.9%	61.1%	60.7%	60.7%
EBITDA margin	13.5%	12.9%	14.2%	15.2%
EBIT margin	11.5%	11.7%	12.7%	13.7%
Adj. EPS growth	25.8%	23.4%	20.2%	14.9%
Ratios				
Adj. tax rate	31.8%	34.1%	34.1%	34.1%
Interest cover	NM	NM	NM	NM
Net debt/Equity	NM	NM	NM	NM
Net debt/EBITDA	NM	NM	NM	NM
ROCE	28.0%	26.5%	25.5%	23.4%
ROE	30.9%	29.5%	28.1%	25.8%
Valuation				
FCFF yield	5.2%	6.1%	9.4%	10.6%
Dividend yield	0.0%	0.0%	0.0%	0.0%
EV/Revenue	1.4	1.1	1.0	0.9
EV/EBITDA	10.3	8.5	6.8	5.8
Adj. P/E	15.9	12.9	10.7	9.3

Summary Investment Thesis and Valuation

Investment Thesis

We like Luckin for its consumer-centered vision, market-share-oriented growth strategy, and strong digitalization capability. Given these factors, we assign a 23x P/E, but apply a 30% discount, considering its limited track record and constraints on liquidity. The stock has traded at a 16x 12-month rolling P/E on average since 2022. We forecast a 13% store expansion CAGR to support a 14% revenue CAGR and 20% earnings CAGR over 2025-28. Steady and fast expansion, new product launches and margin beats could continue to support consensus upgrades.

Valuation

Our Jun-27 PT of US\$43 is based on a target 2027E P/E of 15x, in line with the target we use for Luckin's key competitor Guming. The stock has traded at a 16x 12-month rolling P/E on average since 2022.

Performance Drivers

Market	3%
Region	0%
Macro	34%
Style	4%
Idiosyn.	59%

Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	-0.13	0.00
Region: China	0.14	0.08
Macro:		
JP Morgan EMBI Global Spread	-0.45	-0.46
Emerging Central Bank Rate	-0.12	-0.24
Emerging Economies CPI(YoY)	0.00	-0.19
Quant Styles:		
Momentum	-0.34	-0.21
Growth	-0.29	-0.19
Value	0.19	0.16

Investment Thesis, Valuation and Risks

Luckin Coffee *(Overweight; Price Target: \$43.00)*

Investment Thesis

We like Luckin for its consumer-centered vision, market-share-oriented growth strategy, and strong digitalization capability. Given these factors, we assign a 23x P/E, but apply a 30% discount, considering its limited track record and constraints on liquidity. The stock has traded at a 16x 12-month rolling P/E on average since 2022. We forecast a 13% store expansion CAGR to support a 14% revenue CAGR and 20% earnings CAGR over 2025-28. Steady and fast expansion, new product launches and margin beats could continue to support consensus upgrades.

Valuation

Our Jun-27 PT of US\$43 is based on a target 2027E P/E of 15x, in line with the target we use for Luckin's key competitor Guming. The stock has traded at a 16x 12-month rolling P/E on average since 2022.

Risks to Rating and Price Target

Key downside risks include: (1) rapid changes in consumer tastes; (2) partnership store management challenges as the company scales up; (3) price hikes in key ingredients, such as coffee, milk and tea, which could squeeze margins; (4) a failure to localize products, adapt marketing strategies and effectively gain users in new markets; and (5) reputational risks, such as food safety incidents, labor disputes or social media controversies, which could erode consumer trust.

Luckin Coffee: Summary of Financials

Income Statement						Cash Flow Statement					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	34,475	49,288	60,890	67,993	72,592	Cash flow from operating activities	4,229	6,091	6,023	7,203	8,022
COGS	(14,083)	(18,783)	(23,696)	(26,703)	(28,542)	o/w Depreciation & amortization	1,190	1,557	1,880	2,099	2,241
Gross profit	20,392	30,505	37,194	41,289	44,049	o/w Changes in working capital	(2,251)	(2,015)	(3,031)	(2,368)	(2,174)
SG&A	(4,341)	(5,653)	(7,520)	(8,477)	(8,976)	Cash flow from investing activities	(3,210)	(7,787)	(4,895)	(5,343)	(7,559)
Adj. EBITDA	4,760	6,630	7,877	9,632	11,059	o/w Capital expenditure	(2,302)	(2,624)	(1,941)	(913)	(913)
D&A	(1,190)	(1,557)	(1,880)	(2,099)	(2,241)	as % of sales	6.7%	5.3%	3.2%	1.3%	1.3%
Adj. EBIT	3,935	5,646	7,097	8,633	9,918	Cash flow from financing activities	334	(334)	0	0	0
Net Interest	85	189	253	324	458	o/w Dividends paid	0	0	0	0	0
Adj. PBT	3,726	5,280	6,258	7,857	9,276	o/w Shares issued/(repurchased)	0	0	0	0	0
Tax	(771)	(1,680)	(2,131)	(2,675)	(3,159)	o/w Net debt issued/(repaid)	334	(334)	0	0	0
Minority Interest	-	-	-	-	-	Net change in cash	1,368	(2,050)	1,128	1,859	463
Adj. Net Income	3,311	4,196	5,225	6,281	7,217	Adj. Free cash flow to firm	1,927	3,467	4,082	6,290	7,109
Reported EPS	9.28	11.22	12.74	16.00	18.88	y/y Growth	1183.2%	79.9%	17.7%	54.1%	13.0%
Adj. EPS	10.39	13.07	16.13	19.39	22.28						
DPS	0.00	0.00	0.00	0.00	0.00						
Payout ratio	0.0%	0.0%	0.0%	0.0%	0.0%						
Shares outstanding	319	321	324	324	324						
Balance Sheet						Ratio Analysis					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	4,362	2,294	3,422	5,282	5,745	Gross margin	59.1%	61.9%	61.1%	60.7%	60.7%
Accounts receivable	550	737	910	1,017	1,085	EBITDA margin	13.8%	13.5%	12.9%	14.2%	15.2%
Inventories	2,500	2,967	3,571	3,877	4,066	EBIT margin	11.4%	11.5%	11.7%	12.7%	13.7%
Other current assets	4,992	6,229	7,133	7,678	8,075	Net profit margin	9.6%	8.5%	8.6%	9.2%	9.9%
Current assets	10,732	14,431	19,417	26,252	33,757	ROE	33.6%	30.9%	29.5%	28.1%	25.8%
PP&E	5,066	6,290	6,461	5,780	4,990	ROA	16.0%	15.7%	16.0%	16.7%	16.7%
LT investments	150	700	700	700	700	ROCE	31.2%	28.0%	26.5%	25.5%	23.4%
Other non current assets	7,328	9,581	9,195	8,062	7,349	SG&A/Sales	12.6%	11.5%	12.4%	12.5%	12.4%
Total assets	23,126	30,302	35,072	40,094	46,096	Net debt/Equity	NM	NM	NM	NM	NM
Short term borrowings	300	0	0	0	0	Net debt/EBITDA	NM	NM	NM	NM	NM
Payables	739	1,104	1,363	1,536	1,642	Sales/Assets (x)	1.7	1.8	1.9	1.8	1.7
Other short term liabilities	5,650	7,403	8,477	8,710	8,846	Assets/Equity (x)	2.1	2.0	1.8	1.7	1.5
Current liabilities	6,689	8,507	9,840	10,247	10,488	Interest cover (x)	NM	NM	NM	NM	NM
Long-term debt	34	0	0	0	0	Operating leverage	53.4%	101.2%	109.2%	185.5%	220.1%
Other long term liabilities	3,364	4,656	3,966	3,399	3,043	Tax rate	20.7%	31.8%	34.1%	34.1%	34.1%
Total liabilities	11,568	14,677	15,321	15,161	15,045	Revenue y/y Growth	38.4%	43.0%	23.5%	11.7%	6.8%
Shareholders' equity	11,558	15,625	19,752	24,933	31,051	EBITDA y/y Growth	31.1%	39.3%	18.8%	22.3%	14.8%
Minority interests	0	0	0	0	0	EPS y/y Growth	3.7%	25.8%	23.4%	20.2%	14.9%
Total liabilities & equity	23,126	30,302	35,072	40,094	46,096						
BVPS	36.29	48.67	60.97	76.97	95.85	Valuation					
y/y Growth	41.2%	34.1%	25.3%	26.2%	24.5%		FY24A	FY25A	FY26E	FY27E	FY28E
Net debt/(cash)	(4,029)	(2,294)	(3,422)	(5,282)	(5,745)	P/E (x)	19.9	15.9	12.9	10.7	9.3
						P/BV (x)	5.7	4.3	3.4	2.7	2.2
						EV/EBITDA (x)	14.0	10.3	8.5	6.8	5.8
						Dividend Yield	0.0%	0.0%	0.0%	0.0%	0.0%

Source: Company reports and J.P. Morgan estimates.

Note: Rmb in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

Overweight

CHA, CHA US

Price (17 Jul 26):\$11.30

▲ **Price Target (Jun-27):\$16.50**

Prior (Dec-26):\$15.00

Consumer

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Morgan Broking (Hong Kong) Limited

Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	9	11	28	100	
Growth	38	45	2		
Momentum	70	100			
Quality	16	10	3		
Low Vol	90	91	98		

Chagee

2Q preview: SSS recovery on track; risk-reward attractive

Chagee has shown signs of stabilization YTD, with the domestic same-store sales (SSS) decline narrowing for a second consecutive quarter to LDD% in 2Q26 (JPMe). Since the beginning of the year, management has prioritized membership engagement and SSS improvement over expansion. Accelerated new-product launches and category expansion into gelato have added meaningful “newness” to the offering. Further product innovation (including higher gelato penetration) and a successful South Korea rollout create additional runway for growth both in China and overseas. With SSS recovery on track, a US\$150mn share repurchase program through Jun 2027 (c.7% of market cap) and potential cash dividends from 2H26 (JPMe: 6–7% yield), and the stock trading at just 8x FY26E P/E, we see an attractive risk-reward. Chagee remains one of our China FMD top picks.

- **Domestic same-store sales recovery on track.** Chagee’s domestic SSS decline narrowed to 16.1% yoy in 1Q26 from 25.5% in 4Q25, and momentum appears to have extended into 2Q26; **we expect an LDD% decline, with average monthly GMV per store above RMB350k.** An accelerated launch cadence of 1–2 new SKUs per month, together with the gelato launch in May, has supported SSS trends. The gelato business carries a similar gross margin versus drinks and has contributed up to 20% of total GMV in some pilot stores. While a nationwide rollout has not yet occurred due to higher equipment capex and ongoing unit economics validation, a broader rollout could drive an additional leg of growth if lower-cost equipment becomes available.
- **Improving franchisor–franchisee dynamics should support future growth.** YTD, franchise store unit economics (UE) are generally healthy, with 12%–14% EBITDA margins and an ~20-month payback period, according to the company. Franchisees have continued to open new stores YTD after transitioning to a profit-sharing model in early 2026. Meanwhile, Chagee has been more cautious on expansion and has prioritized SSS recovery and member engagement, which we view as critical to a potential turnaround. **One summer-season risk to flag:** under the new scheme, Chagee guarantees a maximum 10% discount for franchise stores, so more aggressive subsidies from third-party delivery platforms could create downside risk to Chagee’s revenue and gross margin.
- **2Q26 preview and earnings revisions.** Store openings pace has decelerated in the domestic market, from 318 in 2Q25 to fewer than 50 (JPMe) in 2Q26 as the company prioritizes SSS recovery. We forecast 2Q26 revenue at Rmb3.6bn, +8% yoy, and gross margin at 55%, +1.1pp yoy. **We estimate Chagee’s 2Q26 core net earnings at Rmb 401mn, -36% yoy.** Our PT of US\$16.5 (from US\$15) is based on 10x 2027E P/E, around 0.5STD below its historical P/E mean. The stock has been trading at a 12x 12-month rolling P/E on average since listing (Mar 2025). The 2Q and 3Q25 results miss and guidance cut during 2025 triggered a de-rating cycle from over 20x to the current ~7-8x 12-month rolling P/E on consensus EPS. The current P/E looks attractive to us compared with Chagee’s China consumer peers.

Figure 18: 2Q26 preview: SSS recovery on track

FYE Dec 31 (Rmb mn)	2025	2026E	YoY	2Q25	1Q26	2Q26E	YoY
Net revenue	12,907	14,048	9%	3,332	3,546	3,590	8%
- Franchised teahouses	11,417	10,110	-11%	3,021	2,744	2,550	-16%
- Company-owned teahouses	1,490	3,938	164%	311	802	1,039	234%
Cost of materials, storage and logistics	(6,001)	(6,273)	5%	(1,537)	(1,574)	(1,615)	5%
Gross profit	6,906	7,775	13%	1,795	1,972	1,974	10%
<i>Gross margin</i>	<i>54%</i>	<i>55%</i>	<i>1.8pp</i>	<i>54%</i>	<i>56%</i>	<i>55%</i>	<i>1.1pp</i>
Company-owned teahouse operating costs	(989)	(2,372)	140%	(184)	(497)	(573)	211%
% of revenue	8%	17%	9.2pp	6%	14%	16%	10.4pp
Sales and marketing expenses, ex-SBC	(1,312)	(1,264)	-4%	(354)	(305)	(305)	-14%
% of revenue	10%	9%	-1.2pp	11%	9%	9%	-2.1pp
General and admin expenses, ex-SBC	(1,806)	(1,475)	-18%	(439)	(410)	(413)	-6%
% of revenue	14%	11%	-3.5pp	13%	12%	12%	-1.7pp
Other operating costs, ex-SBC	(728)	(632)	-13%	(158)	(154)	(154)	-2%
% of revenue	6%	5%	-1.1pp	5%	4%	4%	-0.4pp
Total operating expenses	(5,559)	(6,043)	9%	(1,687)	(1,424)	(1,522)	-10%
Operating income	1,347	1,731	29%	108	547	452	320%
<i>Operating margin</i>	<i>10%</i>	<i>12%</i>	<i>1.9pp</i>	<i>3%</i>	<i>15%</i>	<i>13%</i>	<i>9.4pp</i>
Other gains/(loss), net	123	130		45	22	22	
Financial income, net	147	183		51	(1)	(1)	
Profit before tax	1,618	2,044	26%	204	568	473	132%
Income tax expense	(432)	(450)	4%	(126)	(120)	(104)	
Profit after tax	1,186	1,594	34%	77	448	369	377%
Minority Interest	(15)	(20)		(8)	3	(8)	
Reported net profit	1,171	1,574	34%	70	450	361	419%
<i>Net margin</i>	<i>9%</i>	<i>11%</i>	<i>2.1pp</i>	<i>2%</i>	<i>13%</i>	<i>10%</i>	<i>8.0pp</i>
Share based compensation	724	300		553	59	40	
Non-GAAP net profit	1,895	1,874	-1%	622	509	401	-36%
<i>Non-GAAP net margin</i>	<i>15%</i>	<i>13%</i>	<i>-1.3pp</i>	<i>19%</i>	<i>14%</i>	<i>11%</i>	<i>-7.5pp</i>
Non-GAAP							
EPS - Basic (Rmb)	11.66	9.92	-15%	3.69	2.67	2.10	-43%
EPS - Diluted (Rmb)	11.50	9.81	-15%	3.64	2.65	2.09	-42%
EPS - Basic (US\$)	1.62	1.46	-10%				
EPS - Diluted (US\$)	1.60	1.45	-10%				
DPS (US\$)	0.92	0.73					
Dividend payout ratio	57%	50%					
Dividend yield	8%	6%					

Source: Company data, J.P. Morgan estimates.

Earnings forecasts

Figure 19: Key assumptions and operating metrics

FYE Dec 31 (Rmb mn)	2024	2025	2026E	2027E	2028E	25-28E CAGR	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26E	3Q26E	4Q26E
Teahouse #														
Total stores	6,440	7,453	7,853	8,583	9,103	7%	6,681	7,038	7,338	7,453	7,531	7,618	7,718	7,853
Franchised	6,271	6,838	6,913	7,613	8,113	6%	6,490	6,799	6,971	6,838	6,741	6,776	6,826	6,913
Company-owned	169	615	940	970	990	17%	191	239	367	615	790	842	892	940
China	6,284	7,108	7,308	7,838	8,158	5%	6,512	6,830	7,076	7,108	7,157	7,194	7,244	7,308
Overseas	156	345	545	745	945	40%	169	208	262	345	374	424	474	545
Net change YoY														
Total stores	2,929	1,013	400	730	520		241	357	300	115	78	87	100	135
Franchised	2,799	567	75	700	500		219	309	172	(133)	(97)	35	50	87
Company-owned	130	446	325	30	20		22	48	128	248	175	52	50	48
China	2,868	824	200	530	320		228	318	246	32	49	37	50	64
Overseas	61	189	200	200	200		13	39	54	83	29	50	50	71
Key metrics														
SSSG	2.7%						-18.9%	-23.0%	-27.8%	-25.5%	-16.0%	-8.7%	-2.5%	1.7%
China							-19.1%	-23.1%	-27.9%	-25.5%	-16.1%			
Overseas	46.9%						-8.4%	-18.1%	-23.4%	-25.5%	-12.0%			
China avg monthly GMV / store (Rmb k)	512						432	404	379	337	356			
YoY	6.0%						-21.3%	-24.8%	-28.3%	-26.0%	-17.6%			
Average daily cups sold per teahouse	837	521	469	469	469									
YoY	5%	-38%	-10%	0%	0%									
Implied ASP per cup (Rmb)	20.4	21.8	21.8	21.8	21.8									
YoY	1%	7%	0%	0%	0%									
FYE Dec 31 (Rmb mn)	2024	2025	2026E	2027E	2028E	25-28E CAGR	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26E	3Q26E	4Q26E
Net revenue	12,406	12,907	14,048	15,627	16,639	9%	3,393	3,332	3,208	2,974	3,546	3,590	3,645	3,267
YoY	167%	4%	9%	11%	6%		35%	10%	-9%	-11%	5%	6%	14%	10%
Cost of materials, storage and logistics	(6,257)	(6,001)	(6,273)	(6,954)	(7,571)	10%	(1,590)	(1,537)	(1,482)	(1,393)	(1,574)	(1,615)	(1,618)	(1,465)
Gross profit	6,149	6,906	7,775	8,673	9,068		1,802	1,795	1,727	1,582	1,972	1,974	2,026	1,803
YoY change	196%	12%	13%	12%	5%		51%	23%	-3%	-8%	9%	10%	17%	14%
Gross margin	50%	54%	55%	56%	55%	17%	53%	54%	54%	53%	56%	55%	56%	55%
Operating income	2,887	1,347	1,731	1,963	2,149		821	108	454	(36)	547	452	402	330
YoY change	169%	-53%	29%	13%	9%		16%	-86%	-43%	-106%	-33%	320%	-11%	
Operating margin	23%	10%	12%	13%	13%	18%	24%	3%	14%	-1%	15%	13%	11%	10%
Reported net profit	2,516	1,171	1,574	1,758	1,913		679	70	394	29	450	361	324	439
YoY change	214%	-53%	34%	12%	9%		14%	-89%	-38%	-96%	-34%	419%	-18%	
Net margin	20%	9%	11%	11%	11%	4%	20%	2%	12%	1%	13%	10%	9%	13%
Non-GAAP net profit	2,517	1,895	1,874	2,058	2,113		679	622	499	95	509	401	414	550
YoY change	174%	-25%	-1%	10%	3%		14%	0%	-22%	-85%	-25%	-36%	-17%	481%
Non-GAAP net margin	20%	15%	13%	13%	13%		20%	19%	16%	3%	14%	11%	11%	17%

Source: J.P. Morgan estimates, Company data.

Figure 20: Key assumptions and forecast revisions

FYE Dec 31 (Rmb mn)	New			Previous			Change		
	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E
Net revenue	14,048	15,627	16,639	13,837	15,404	16,400	1.5%	1.4%	1.5%
YoY	9%	11%	6%	7%	11%	6%	1.6pp	-0.1pp	0.0pp
Gross profit	7,775	8,673	9,068	7,680	8,549	8,938	1.2%	1.4%	1.5%
<i>Gross margin</i>	<i>55%</i>	<i>56%</i>	<i>55%</i>	<i>56%</i>	<i>56%</i>	<i>55%</i>	<i>-0.2pp</i>	<i>0.0pp</i>	<i>0.0pp</i>
Company-owned teahouse operating costs	(2,372)	(2,738)	(2,809)	(2,369)	(2,738)	(2,809)	0.1%	0.0%	0.0%
Sales and marketing expenses	(1,285)	(1,427)	(1,511)	(1,266)	(1,407)	(1,490)	1.5%	1.4%	1.4%
General and administrative expenses	(1,742)	(1,830)	(1,842)	(1,720)	(1,808)	(1,818)	1.3%	1.2%	1.3%
Other operating costs	(644)	(715)	(757)	(635)	(705)	(746)	1.5%	1.4%	1.4%
Total operating expenses	(6,043)	(6,710)	(6,919)	(5,990)	(6,658)	(6,863)	0.9%	0.8%	0.8%
Operating income	1,731	1,963	2,149	1,689	1,892	2,075	2.5%	3.8%	3.6%
<i>Operating margin</i>	<i>12%</i>	<i>13%</i>	<i>13%</i>	<i>12%</i>	<i>12%</i>	<i>13%</i>	<i>0.1pp</i>	<i>0.3pp</i>	<i>0.3pp</i>
Other gains/(loss), net	130	130	130	130	130	130	0.0%	0.0%	0.0%
Income tax expense	(450)	(502)	(547)	(440)	(487)	(530)	2.1%	3.2%	3.1%
Minority Interest	(20)	(23)	(25)	(20)	(22)	(24)	2.1%	3.2%	3.1%
Reported net profit	1,574	1,758	1,913	1,542	1,703	1,856	2.1%	3.2%	3.1%
<i>Net margin</i>	<i>11%</i>	<i>11%</i>	<i>11%</i>	<i>11%</i>	<i>11%</i>	<i>11%</i>	<i>0.1pp</i>	<i>0.2pp</i>	<i>0.2pp</i>
Non-GAAP net profit	1,874	2,058	2,113	1,842	2,003	2,056	1.8%	2.7%	2.8%
YoY	-1%	10%	3%	-3%	9%	3%	1.7pp	1.1pp	0.0pp
<i>Non-GAAP net margin</i>	<i>13%</i>	<i>13%</i>	<i>13%</i>	<i>13%</i>	<i>13%</i>	<i>13%</i>	<i>0.0pp</i>	<i>0.2pp</i>	<i>0.2pp</i>

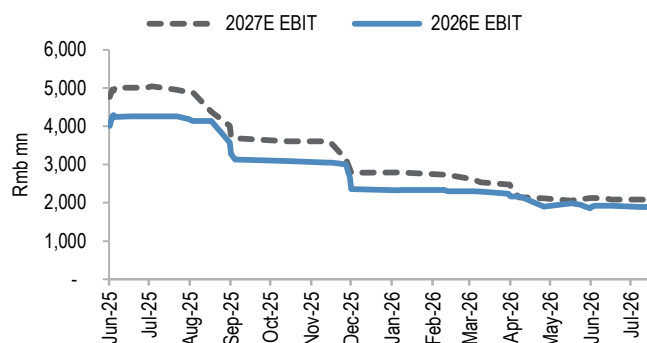
Source: J.P. Morgan estimates.

Figure 21: JPMe vs Bloomberg consensus

FYE Dec 31 (Rmb mn)	JPMe			Bloomberg consensus			JPMe vs consensus		
	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E
Revenue	14,048	15,627	16,639	14,165	15,844	17,137	-0.8%	-1.4%	-2.9%
YoY	8.8%	11.2%	6.5%	9.7%	11.9%	8.2%	-0.9pp	-0.6pp	-1.7pp
<i>Gross margin</i>	<i>55.3%</i>	<i>55.5%</i>	<i>54.5%</i>	<i>55.5%</i>	<i>56.2%</i>	<i>55.7%</i>	<i>-0.1pp</i>	<i>-0.7pp</i>	<i>-1.2pp</i>
Operating profit	1,731	1,963	2,149	1,894	2,100	2,293	-8.6%	-6.5%	-6.3%
YoY	28.5%	13.4%	9.5%	40.6%	10.9%	9.2%	-12.1pp	2.5pp	0.3pp
<i>Operating margin</i>	<i>12.3%</i>	<i>12.6%</i>	<i>12.9%</i>	<i>13.4%</i>	<i>13.3%</i>	<i>13.4%</i>	<i>-1.0pp</i>	<i>-0.7pp</i>	<i>-0.5pp</i>
Non-GAAP net profit	1,874	2,058	2,113	1,712	1,868	1,994	9.4%	10.2%	6.0%
YoY	-1.1%	9.8%	2.7%	-9.6%	9.1%	6.7%	8.5pp	0.7pp	-4.1pp
<i>Non-GAAP net margin</i>	<i>13.3%</i>	<i>13.2%</i>	<i>12.7%</i>	<i>12.1%</i>	<i>11.8%</i>	<i>11.6%</i>	<i>1.3pp</i>	<i>1.4pp</i>	<i>1.1pp</i>
Non-GAAP EPADS, basic (Rmb)	9.92	11.32	11.76	9.60	10.32	11.10	3.3%	9.7%	6.0%
YoY	-14.9%	14.1%	3.9%	-17.7%	7.4%	7.6%	2.7pp	6.7pp	-3.7pp

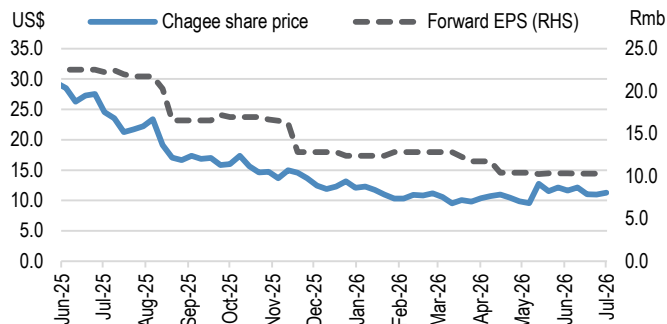
Source: J.P. Morgan estimates, Bloomberg Finance L.P. estimates.

Figure 22: Consensus EBIT revisions



Source: Bloomberg Finance L.P. estimates.

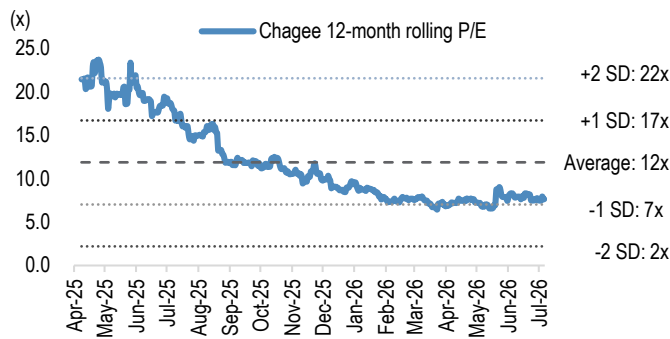
Figure 23: Share price vs consensus forward EPS



Source: Bloomberg Finance L.P. estimates.

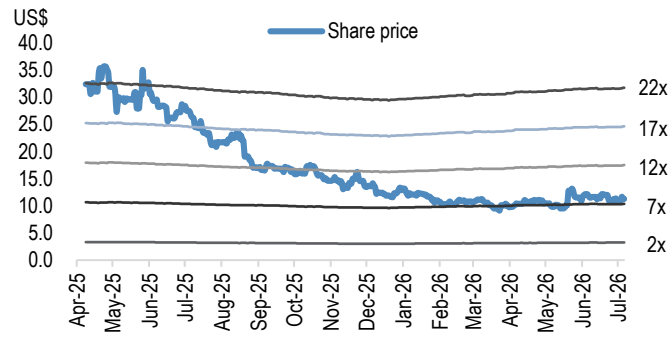
Valuation charts

Figure 24: 12-month rolling P/E



Source: J.P. Morgan estimates, Bloomberg Finance L.P.

Figure 25: 12-month rolling P/E band chart



Source: J.P. Morgan estimates, Bloomberg Finance L.P.

Price Performance



	YTD	1m	3m	12m
Abs	-2.8%	-1.9%	8.8%	-56.8%
Rel	-22.2%	-3.4%	2.1%	-88.3%

Company Data

Shares O/S (mn)	165
52-week range (\$)	24.90-8.98
Market cap (\$ mn)	1,861
Exchange rate	1.00
Free float (%)	-
3M ADV (mn)	0.67
3M ADV (\$ mn)	7.7
Volatility (90 Day)	62
Index	RUSSELL 2000
BBG ANR (Buy Hold Sell)	9/4/0

Key Metrics (FYE Dec)

Rmb in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	12,907	14,048	15,627	16,639
Adj. EBITDA	1,617	2,105	2,349	2,542
Adj. EBIT	1,347	1,731	1,963	2,149
Adj. net income	1,895	1,874	2,058	2,113
Adj. EPS	11.50	9.81	11.18	11.62
BBG EPS	10.25	9.60	10.32	11.10
Cashflow from operations	1,644	219	2,103	2,138
FCFF	1,227	(674)	1,768	1,815
Margins and Growth				
Revenue Growth Y/Y (%)	4.0%	8.8%	11.2%	6.5%
Gross margin	53.5%	55.3%	55.5%	54.5%
EBITDA margin	12.5%	15.0%	15.0%	15.3%
EBIT margin	10.4%	12.3%	12.6%	12.9%
Adj. EPS growth	(22.8%)	(14.8%)	14.0%	3.9%
Ratios				
Adj. tax rate	26.7%	22.0%	22.0%	22.0%
Interest cover	NM	NM	NM	NM
Net debt/Equity	NM	NM	NM	NM
Net debt/EBITDA	NM	NM	NM	NM
ROCE	18.1%	17.6%	18.3%	18.2%
ROE	34.7%	24.4%	24.5%	22.9%
Valuation				
FCFF yield	9.7%	(4.6%)	12.5%	13.0%
Dividend yield	8.6%	6.5%	7.4%	7.7%
EV/Revenue	0.4	0.5	0.4	0.4
EV/EBITDA	3.2	3.4	2.9	2.5
Adj. P/E	6.7	7.8	6.8	6.6

Summary Investment Thesis and Valuation

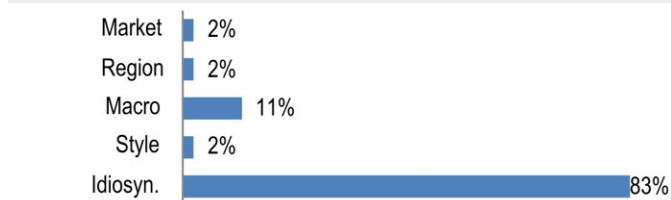
Investment Thesis

Chagee is a leading premium tea drinks brand, founded in 2017. By 2025, Chagee's network had expanded to 7.5k teahouses, including 7.2k in China and 374 stores in overseas markets. After consecutive SSS declines for six quarters, declines started to narrow in 4Q25 and the momentum extended into 1Q26. We believe the worst is behind the stock, and that Chagee should be able to realize positive SSS by around end-2026. We now see better risk-reward in Chagee and the potential for a rerating (P/E mean reversion) given the better chance of a turnaround supported by new initiatives, 6-7% FY26E dividend yield and strong free cash flow. Overweight.

Valuation

Our Jun-2027 price target is US\$16.5, based on 10x 2027E P/E, around 0.5STD below its historical P/E mean. The stock has been trading at a 12x 12-month rolling P/E on average since listing (Mar 2025). The 2Q and 3Q25 results miss and guidance cut during 2025 triggered a de-rating cycle from over 20x to the current ~7-8x 12-month rolling P/E on consensus EPS. The current P/E looks attractive to us compared with Chagee's China consumer peers.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.20	0.20
Region: China	0.32	0.20
Macro:		
US 10 Year Yield	-0.04	0.24
JP Morgan EMBI Global Spread	0.06	-0.20
Citi Economic Surprise - EM	0.05	-0.19
Quant Styles:		
Quality	0.05	-0.15
Value	-0.16	-0.06
Size	0.22	0.05

Investment Thesis, Valuation and Risks

Chagee (*Overweight; Price Target: \$16.50*)

Investment Thesis

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Risks to Rating and Price Target

Key downside risks to our rating and price target include: 1) rapid changes in consumer tastes and loss of active consumers; 2) price hikes of key ingredients that could squeeze margins; 3) failure to localize products, adapt marketing strategies and effectively gain users in new markets; and 4) reputational risks.

Chagee: Summary of Financials

Income Statement	FY24A	FY25A	FY26E	FY27E	FY28E	Cash Flow Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	12,406	12,907	14,048	15,627	16,639	Cash flow from operating activities	2,838	1,644	219	2,103	2,138
COGS	(6,257)	(6,001)	(6,273)	(6,954)	(7,571)	o/w Depreciation & amortization	61	146	244	256	263
Gross profit	6,149	6,906	7,775	8,673	9,068	o/w Changes in working capital	382	(295)	(1,919)	(233)	(263)
SG&A	(2,222)	(3,813)	(3,027)	(3,257)	(3,353)	Cash flow from investing activities	(229)	(825)	(924)	(374)	(375)
Adj. EBITDA	3,066	1,617	2,105	2,349	2,542	o/w Capital expenditure	(241)	(452)	(894)	(335)	(324)
D&A	(61)	(146)	(244)	(256)	(263)	as % of sales	1.9%	3.5%	6.4%	2.1%	1.9%
Adj. EBIT	2,887	1,347	1,731	1,963	2,149	Cash flow from financing activities	(174)	2,047	(1,245)	(1,304)	(729)
Net Interest	37	147	183	190	205	o/w Dividends paid	0	(1,233)	(937)	(1,029)	(1,056)
Adj. PBT	3,042	1,618	2,044	2,283	2,484	o/w Shares issued/(repurchased)	(210)	0	(503)	(495)	0
Tax	(528)	(432)	(450)	(502)	(547)	o/w Net debt issued/(repaid)	(2)	0	0	0	0
Minority Interest	2	(15)	(20)	(23)	(25)	Net change in cash	2,446	2,865	(1,748)	619	834
Adj. Net Income	2,517	1,895	1,874	2,058	2,113	Adj. Free cash flow to firm	2,612	1,227	(674)	1,768	1,815
Reported EPS	14.90	7.11	8.24	9.55	10.52	y/y Growth	37.4%	(53.0%)	(155.0%)	(362.2%)	2.6%
Adj. EPS	14.90	11.50	9.81	11.18	11.62						
DPS	0.00	6.61	4.96	5.66	5.88						
Payout ratio	0.0%	92.9%	60.2%	59.3%	55.9%						
Shares outstanding	169	165	191	184	182						
Balance Sheet	FY24A	FY25A	FY26E	FY27E	FY28E	Ratio Analysis	FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	4,755	7,607	5,859	6,479	7,313	Gross margin	49.6%	53.5%	55.3%	55.5%	54.5%
Accounts receivable	122	146	159	177	188	EBITDA margin	24.7%	12.5%	15.0%	15.0%	15.3%
Inventories	132	228	0	0	0	EBIT margin	23.3%	10.4%	12.3%	12.6%	12.9%
Other current assets	685	1,143	1,028	1,174	1,298	Net profit margin	20.3%	14.7%	13.3%	13.2%	12.7%
Current assets	5,440	8,850	7,017	7,822	8,831	ROE	103.1%	34.7%	24.4%	24.5%	22.9%
PP&E	249	584	1,235	1,316	1,378	ROA	52.8%	21.0%	16.6%	17.2%	14.9%
LT investments	2	2	2	2	2	ROCE	97.7%	18.1%	17.6%	18.3%	18.2%
Other non current assets	887	1,919	2,685	3,700	5,133	SG&A/Sales	17.9%	29.5%	21.6%	20.8%	20.2%
Total assets	6,596	11,463	11,047	12,947	15,450	Net debt/Equity	NM	NM	NM	NM	NM
Short term borrowings	0	0	0	0	0	Net debt/EBITDA	NM	NM	NM	NM	NM
Payables	597	630	0	0	0	Sales/Assets (x)	2.6	1.4	1.2	1.3	1.2
Other short term liabilities	1,701	2,220	1,140	1,471	1,919	Assets/Equity (x)	2.0	1.7	1.5	1.4	1.5
Current liabilities	2,298	2,850	1,140	1,471	1,919	Interest cover (x)	NM	NM	NM	NM	NM
Long-term debt	-	-	-	-	-	Operating leverage	100.8%	(1318.3%)	322.7%	119.1%	146.2%
Other long term liabilities	610	1,036	1,477	2,074	2,920	Tax rate	17.3%	26.7%	22.0%	22.0%	22.0%
Total liabilities	2,908	3,886	2,617	3,545	4,839	Revenue y/y Growth	167.4%	4.0%	8.8%	11.2%	6.5%
Shareholders' equity	3,588	7,342	8,006	8,766	9,658	EBITDA y/y Growth	177.4%	(47.3%)	30.2%	11.6%	8.2%
Minority interests	101	235	424	635	953	EPS y/y Growth	174.5%	(22.8%)	(14.8%)	14.0%	3.9%
Total liabilities & equity	6,596	11,463	11,047	12,947	15,450	Valuation	FY24A	FY25A	FY26E	FY27E	FY28E
BVPS	21.25	44.57	41.89	47.64	53.11	P/E (x)	5.1	6.7	7.8	6.8	6.6
y/y Growth	177.1%	109.8%	(6.0%)	13.7%	11.5%	P/BV (x)	3.6	1.7	1.8	1.6	1.4
Net debt/(cash)	(4,755)	(7,607)	(5,859)	(6,479)	(7,313)	EV/EBITDA (x)	2.6	3.2	3.4	2.9	2.5
						Dividend Yield	0.0%	8.6%	6.5%	7.4%	7.7%

Source: Company reports and J.P. Morgan estimates.

Note: Rmb in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

Overweight

1364.HK, 1364 HK

Price (20 Jul 26):HK\$21.38

▼ **Price Target (Jun-27):HK\$26.00**

Prior (Dec-26):HK\$38.00

Consumer

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J.P. Morgan Securities (Asia Pacific) Limited/ J.P. Morgan Broking (Hong Kong) Limited

Key Changes (FYE Dec)

	Prev	Cur	Δ
Revenue - 26E (Rmb mn)	16,312	15,513	-4.9%
Revenue - 27E (Rmb mn)	19,103	17,373	-9.1%

Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	75	88	93	99	
Growth	10	14	2	1	
Momentum	56	29	19		
Quality	2	7	1		
Low Vol	90	95	99		

Guming - H

1H26 preview: 1H earnings safe; 2H to be slower

Investors have questioned Guming's 3.5k net opening target since the start of the quarter, and the share price fell 22% in 2Q26 (vs HSI -8%). As bears expected, management turned more cautious in mid-July and cut the full-year net opening target by c.40% to ~2k from 3.5k. With c.800 net openings in 1H, 2H net openings are now implied at ~1.2k. YTD, third-party delivery subsidies appear to be unwinding faster than the industry previously expected, and we suspect consumer behavior is relatively sticky - i.e., customers may not immediately shift back to dine-in even as couponing on Meituan and Taobao eases. To retain customers, brands may need to fund more offline discounts, which could pressure both topline growth and margins. That said, Guming remains the peer with better growth runway and visibility, in our view, supported by its regional densification strategy and stronger franchisor-franchisee relationship. That said, investors may continue to stay on the sidelines until the SSS decline ends (against a tough base), likely during or after 4Q26.

- **FY26 store expansion target cut to ~2k (from 3.5k).** Management reduced FY26 net store addition guidance by c.40% to ~2k from the initial ~3.5k ±500. While the cut had largely been anticipated by the market, the magnitude was still a negative surprise. 1H openings were slower as the focus shifted toward upgrading and refreshing existing stores. In addition, franchisees' willingness to open new stores has been dampened by headwinds from the unwinding of third-party delivery subsidies. Nevertheless, same-store sales have remained relatively resilient at +15% in 1Q26 and a <5% decline in 2Q26 despite a tough comparison base. Management continues to guide to FY26 SSSG of -5% to +5%, in line with the initial outlook; we think this is achievable, but on its own may be insufficient to trigger a meaningful re-rating.
- **Product innovation and new categories remain key SSS growth drivers.** Guming remains competitive on new product launches, with new SKUs introduced every 1–2 weeks. Coffee continues to drive organic growth, and management expects daily coffee volume to reach c.120 cups by year-end without incremental promotional support. Beyond beverages, the breakfast daypart and bakery are also contributing incremental SSS: the coffee + bakery combo generates ~Rmb300–400 during morning hours, and bakery alone adds ~Rmb100–200 per store per day. If bakery/roaster penetration accelerates from Aug, this could provide an additional LSD–MSD uplift to 2H26 SSS.
- **1H26 preview and earnings revisions.** We estimate 1H26 core net earnings at Rmb1.5bn (+32% yoy). With ~800 net store additions (+28% yoy) and relatively healthy SSSG (+15% in 1Q and <5% decline in 2Q), we forecast 1H26 revenue at Rmb7.3bn (+28% yoy). We cut our FY26 net store addition forecast from 3.5k to ~2k and also cautiously revise down 2027–2028 net store additions from 3.4k–3.5k to ~3.0k. As a result, our 2026–2028E EPS estimates are lowered by 5%–9%. Our new Jun-27 PT of HK\$26 (from HK\$38) is based on 15x 2027E P/E (previously 20x), in line with the multiple we apply to key competitor Luckin.

Figure 26: 1H26 preview: 1H earnings safe; 2H to be slower

FYE 31-Dec (Rmb mn)	2025	2026E	YoY	1H25	2H25	1H26E	YoY
Total GMV	32,732	40,214	23%	14,094	18,638	18,633	32%
YoY %	46%	23%	-23.3pp	34%	56%	32%	-2.2pp
ASP (Rmb/cup)	17.1	16.8	-2%	17.3	16.9	17.2	-1%
YoY %	1%	-2%	-2.6pp	4%	-2%	-1%	-5.0pp
Per-store daily cups sold (cup)	456	447	-2%	439	495	430	-2%
YoY %	43%	25%	-18.1pp	17%	28%	-2%	-19.4pp
Total store count	13,554	15,554	15%	11,179	13,554	14,354	28%
YoY %	37%	15%	-22.0pp	17%	37%	28%	10.9pp
Net store increase	3,640	2,000	-45%	1,265	2,375	800	-37%
Income statement							
FYE 31-Dec (Rmb mn)	2025	2026E	YoY	1H25	2H25	1H26E	YoY
Revenue	12,914	15,513	20%	5,663	7,251	7,254	28%
Cost of sales	(8,652)	(10,393)	20%	(3,877)	(4,775)	(4,860)	25%
Gross profits	4,262	5,120	20%	1,786	2,476	2,394	34%
Gross margin	33.0%	33.0%	0.0pp	31.5%	34.2%	33.0%	1.5pp
Other income and gains	405	388	-4%	171	234	181	6%
Selling and distribution expenses	(703)	(853)	21%	(312)	(390)	(406)	30%
Administrative expenses	(365)	(438)	20%	(185)	(180)	(205)	11%
Research and development expenses	(223)	(268)	20%	(113)	(111)	(125)	11%
Other expenses	(100)	-	-100%	(4)	(96)	-	-
Operating profit	3,276	3,948	21%	1,342	1,934	1,839	37%
Adj. operating profits	2,971	3,560	20%	1,175	1,796	1,658	41%
Adj. operating margin	23.0%	22.9%	-0.1pp	20.8%	24.8%	22.8%	2.1pp
Finance costs	(74)	(74)	-	(19)	(55)	(37)	-
FV changes of financial liabilities at FV through P&L	557	-	-	557	-	-	-
Profit before tax	3,759	3,874	3%	1,880	1,879	1,802	-4%
Income tax expense	(643)	(739)	15%	(253)	(390)	(347)	37%
Profit after tax	3,115	3,135	1%	1,626	1,489	1,454	-11%
Minority interest	(8)	(8)	21%	(1)	(5)	(4)	286%
Reported net profit	3,109	3,127	1%	1,625	1,484	1,451	-11%
Reported net margin	24.1%	20.2%	-3.9pp	28.7%	20.5%	20.0%	-8.7pp
Adjusted core net profits (non-IFRS)	2,706	3,227	19%	1,135	1,572	1,501	32%
Adj. net margin	21.0%	20.8%	-0.2pp	20.0%	21.7%	20.7%	0.6pp
Per share data (Rmb)							
EPS - Basic (adj. NP)	1.17	1.40	20%	0.50	0.69	0.65	29%
EPS - Diluted (adj. NP)	1.15	1.37	19%	0.49	0.67	0.64	31%
DPS (Rmb)	0.50	0.70	-	-	-	-	-
Dividend payout ratio	44%	50%	-	-	-	-	-
Dividend yield	2.6%	3.7%	-	-	-	-	-

Source: Company data, J.P. Morgan estimates.

Earnings forecasts

Figure 27: Key assumptions and operating metrics

FYE 31-Dec (Rmb mn)	2022	2023	2024	2025	2026E	2027E	2028E	25-28E CAGR	1H25	2H25	1H26E	2H26E
Total GMV	14,004	19,214	22,397	32,732	40,214	45,486	52,156	17%	14,094	18,638	18,633	21,581
YoY %	32%	37%	17%	46%	23%	13%	15%		34%	56%	32%	16%
Per-store daily GMV (Rmb k)	6.2	6.8	6.5	7.8	7.5	7.3	7.1	-3%	7.6	8.4	7.4	8.0
YoY %	3%	10%	-4%	20%	-3%	-3%	-2%		23%	25%	-3%	-4%
Per-store daily cups sold	385	417	384	456	447	438	429	-2%	439	495	430	485
YoY %	0%	8%	-8%	19%	-2%	-2%	-2%		17%	28%	-2%	-2%
ASP (Rmb/cup)	16.1	16.3	16.9	17.1	16.8	16.6	16.5	-1%	17.3	16.9	17.2	16.5
YoY %	3%	1%	4%	1%	-2%	-1%	-1%		4%	-2%	-1%	-2%
Total store count	6,669	9,001	9,914	13,554	15,554	18,554	21,554	17%	11,179	13,554	14,354	15,554
YoY %	17%	35%	10%	37%	15%	19%	16%		17%	37%	28%	15%
Net store increase	975	2,332	913	3,640	2,000	3,000	3,000		1,265	2,375	800	1,200
Total revenue	5,559	7,676	8,791	12,914	15,513	17,373	19,731	15%	5,663	7,251	7,254	8,259
YoY %	27%	38%	15%	47%	20%	12%	14%		41%	52%	28%	14%
Gross margin	28.1%	31.3%	30.6%	33.0%	33.0%	33.0%	33.0%		31.5%	34.2%	33.0%	33.0%
Core operating profit	989	1,585	1,664	2,971	3,560	3,987	4,528	15%	1,175	1,796	1,658	1,903
YoY %	5%	60%	5%	79%	20%	12%	14%		48%	106%	41%	6%
Core operating margin	17.8%	20.7%	18.9%	23.0%	22.9%	22.9%	22.9%		20.8%	24.8%	22.8%	23.0%
Reported net profit	367	1,080	1,479	3,109	3,127	3,507	3,986	9%	1,625	1,484	1,451	1,676
YoY %	1720%	194%	37%	110%	1%	12%	14%		122%	99%	-11%	13%
Reported net margin	6.6%	14.1%	16.8%	24.1%	20.2%	20.2%	20.2%		28.7%	20.5%	20.0%	20.3%
Adj. net profit	783	1,442	1,552	2,706	3,227	3,607	4,088	15%	1,135	1,572	1,501	1,726
YoY %	2%	84%	8%	74%	19%	12%	13%		50%	98%	32%	10%
Adj. net margin	14.1%	18.8%	17.6%	21.0%	20.8%	20.8%	20.7%		20.0%	21.7%	20.7%	20.9%
Adj. EPS - diluted (Rmb)		0.70	0.75	1.15	1.37	1.53	1.74	15%	0.49	0.67	0.64	0.73
YoY %			7%	54%	19%	12%	13%		22%	75%	31%	9%

Source: J.P. Morgan estimates, Company data.

Figure 28: Key assumptions and forecast revisions

FYE 31-Dec (Rmb mn)	New			Previous			Change		
	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E
Total store count	15,554	18,554	21,554	17,054	20,454	23,954	-8.8%	-9.3%	-10.0%
Net store increase	2,000	3,000	3,000	3,500	3,400	3,500	-42.9%	-11.8%	-14.3%
ASP (Rmb/cup)	16.8	16.6	16.5	16.8	16.6	16.5	0.0%	0.0%	0.0%
YoY %	-2%	-1%	-1%	-2%	-1%	-1%			
Per-store daily cups volume	447	438	429	447	438	429	0.0%	0.0%	0.0%
YoY %	25%	15%	15%	32%	20%	16%			
Revenue	15,513	17,373	19,731	16,312	19,103	21,845	-4.9%	-9.1%	-9.7%
YoY	20%	12%	14%	26%	17%	14%	-23.5%	-29.9%	-5.4%
Cost of sales	(10,393)	(11,639)	(13,219)	(10,928)	(12,798)	(14,635)	-4.9%	-9.1%	-9.7%
Gross profits	5,120	5,734	6,512	5,384	6,305	7,210	-4.9%	-9.1%	-9.7%
Gross margin	33.0%	33.0%	33.0%	33.0%	33.0%	33.0%	0.0pp	0.0pp	0.0pp
Other income and gains	388	417	454	408	458	502	-4.9%	-9.1%	-9.7%
Selling and distribution expenses	(853)	(956)	(1,085)	(888)	(1,040)	(1,189)	-3.9%	-8.1%	-8.7%
Administrative expenses	(438)	(491)	(558)	(461)	(540)	(617)	-4.9%	-9.1%	-9.7%
Research and development expenses	(268)	(300)	(341)	(282)	(330)	(378)	-4.9%	-9.1%	-9.7%
Adj. operating profits	3,560	3,987	4,528	3,753	4,395	5,026	-5.1%	-9.3%	-9.9%
YoY	20%	12%	14%	26%	17%	14%	-6.5pp	-5.1pp	-0.8pp
Adj. operating margin	22.9%	22.9%	22.9%	23.0%	23.0%	23.0%	-0.1pp	-0.1pp	-0.1pp
Profit before tax	3,874	4,330	4,908	4,086	4,779	5,454	-5.2%	-9.4%	-10.0%
Income tax expense	(739)	(814)	(912)	(774)	(889)	(1,013)	-4.5%	-8.3%	-10.0%
Reported net profit	3,127	3,507	3,986	3,304	3,881	4,430	-5.4%	-9.6%	-10.0%
YoY	1%	12%	14%	6%	17%	14%	-5.7pp	-5.3pp	-0.5pp
Reported net margin	20.2%	20.2%	20.2%	20.3%	20.3%	20.3%	-0.1pp	-0.1pp	-0.1pp
Adjusted core net profits (non-IFRS)	3,227	3,607	4,088	3,404	3,981	4,543	-5.2%	-9.4%	-10.0%
YoY	19%	12%	13%	26%	17%	14%	-6.5pp	-5.2pp	-0.8pp
Adj. net margin	20.8%	20.8%	20.7%	20.9%	20.8%	20.8%	-0.1pp	-0.1pp	-0.1pp
EPS - Basic (adj. NP)	1.40	1.58	1.79	1.47	1.72	1.96	-4.9%	-8.1%	-8.7%

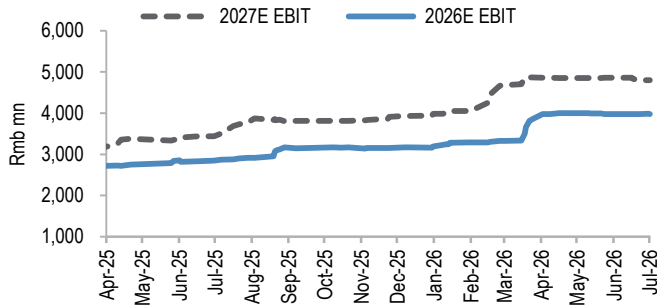
Source: J.P. Morgan estimates.

Figure 29: JPMe vs Bloomberg consensus

FYE 31-Dec (Rmb mn)	JPMe			Bloomberg consensus			JPMe vs consensus		
	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E
Revenue	15,513	17,373	19,731	16,293	19,557	22,908	-4.8%	-11.2%	-13.9%
YoY	20.1%	12.0%	13.6%	26.2%	20.0%	17.1%	-6.0pp	-8.0pp	-3.6pp
Gross profits	5,120	5,734	6,512	5,373	6,452	7,566	-4.7%	-11.1%	-13.9%
YoY	20.1%	12.0%	13.6%	26.1%	20.1%	17.3%	-5.9pp	-8.1pp	-3.7pp
Gross margin	33.0%	33.0%	33.0%	33.0%	33.0%	33.0%	0.0pp	0.0pp	0.0pp
Operating profit	3,948	4,404	4,982	3,955	4,775	5,604	-0.2%	-7.8%	-11.1%
YoY	20.5%	11.5%	13.1%	20.7%	20.7%	17.4%	-0.2pp	-9.2pp	-4.2pp
Operating margin	25.4%	25.3%	25.2%	24.3%	24.4%	24.5%	1.2pp	0.9pp	0.8pp
Adj. net profit	3,227	3,607	4,088	3,289	3,919	4,676	-1.9%	-8.0%	-12.6%
YoY	19.2%	11.8%	13.4%	21.5%	19.2%	19.3%	-2.3pp	-7.4pp	-6.0pp
Non-GAAP net margin	20.8%	20.8%	20.7%	20.2%	20.0%	20.4%	0.6pp	0.7pp	0.3pp
Adj. EPS (Rmb)	1.40	1.58	1.79	1.39	1.69	1.98	0.2%	-6.4%	-9.8%
YoY	19.7%	13.0%	13.4%	19.4%	21.0%	17.6%	0.3pp	-8.0pp	-4.2pp

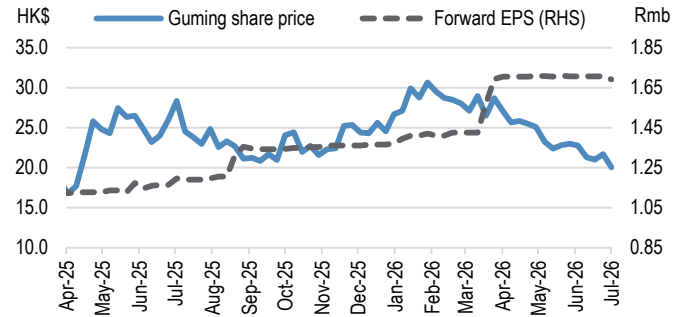
Source: J.P. Morgan estimates, Bloomberg Finance L.P. estimates.

Figure 30: Consensus EBIT revisions



Source: Bloomberg Finance L.P.

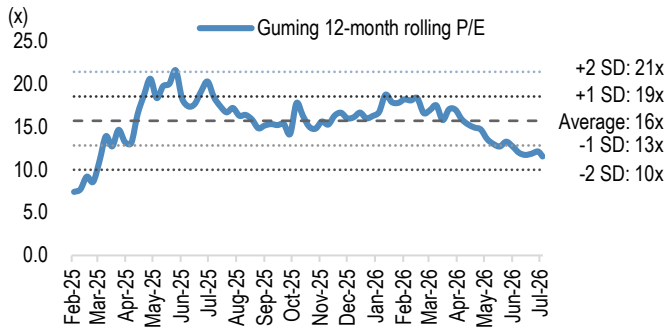
Figure 31: Share price vs consensus forward EPS



Source: Bloomberg Finance L.P.

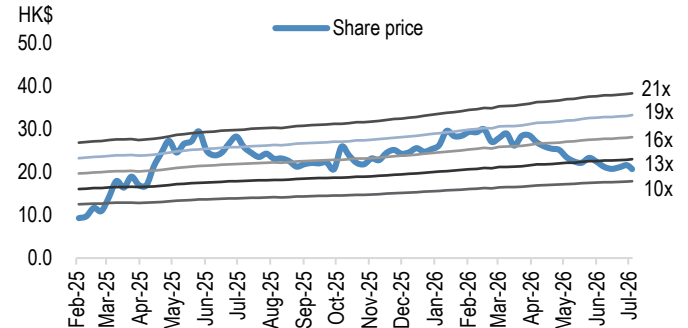
Valuation charts

Figure 32: 12-month rolling P/E



Source: J.P. Morgan, Bloomberg Finance L.P.

Figure 33: 12-month rolling P/E band chart



Source: J.P. Morgan, Bloomberg Finance L.P.

Price Performance



	YTD	1m	3m	12m
Abs	-13.7%	0.3%	-16.5%	-12.9%
Rel	-8.4%	-3.0%	-9.1%	-11.3%

Company Data

Shares O/S (mn)	2,091
52-week range (HK\$)	31.28-18.80
Market cap (\$ mn)	5,703
Exchange rate	7.84
Free float (%)	20.4%
3M ADV (mn)	5.18
3M ADV (\$ mn)	14.8
Volatility (90 Day)	42
Index	HSCI
BBG ANR (Buy Hold Sell)	32 0 0

Key Metrics (FYE Dec)

Rmb in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	12,914	15,513	17,373	19,731
Adj. EBITDA	3,215	3,898	4,373	5,011
Adj. EBIT	2,971	3,560	3,987	4,528
Adj. net income	2,706	3,227	3,607	4,088
Adj. EPS	1.15	1.37	1.53	1.74
BBG EPS	1.09	1.39	1.69	1.98
Cashflow from operations	2,409	3,110	3,732	4,162
FCFF	2,105	2,337	3,355	3,777
Margins and Growth				
Revenue Growth Y/Y (%)	46.9%	20.1%	12.0%	13.6%
Gross margin	33.0%	33.0%	33.0%	33.0%
EBITDA margin	24.9%	25.1%	25.2%	25.4%
EBIT margin	23.0%	22.9%	22.9%	22.9%
Adj. EPS growth	53.8%	19.2%	11.8%	13.4%
Ratios				
Adj. tax rate	22.1%	21.2%	20.8%	20.5%
Interest cover	43.4	52.6	59.0	67.6
Net debt/Equity	NM	NM	NM	NM
Net debt/EBITDA	NM	NM	NM	NM
ROCE	32.0%	21.6%	21.7%	22.1%
ROE	68.6%	49.2%	44.5%	41.5%
Valuation				
FCFF yield	4.8%	5.4%	7.7%	8.7%
Dividend yield	2.7%	3.8%	4.3%	4.8%
EV/Revenue	2.5	1.9	1.7	1.4
EV/EBITDA	10.0	7.7	6.9	5.7
Adj. P/E	16.1	13.5	12.1	10.6

Summary Investment Thesis and Valuation

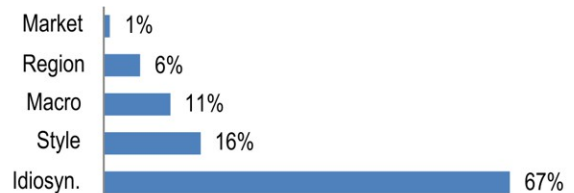
Investment Thesis

We like Guming for: 1) its low-profile management, focused strategy and strong execution; 2) its regional densification strategy has proved to be highly efficient and replicable (top eight provinces collectively accounted for over 80% of its GMV); 3) fresh ingredients & affordable price-centered positioning – the future prototype of the modern teahouse, in our view; and 4) best-in-class supply chain to support fast expansion (cold-chain delivery to 97% of Guming stores every two days). The “Good me” brand is well known for its attractive selling prices, especially in smaller towns. Management is aiming high with a target of 30,000 stores in five years. Guming’s store number reached 13,554 by end-2025, implying a net opening of 3,640 stores in FY25. We model 2k and 3k net openings for 2026E and 2027E (to reach 19k stores by 2027). We expect the company to deliver a 15% EPS CAGR and 15% revenue CAGR over 2025-2028E.

Valuation

Our Jun-27 price target of HK\$26 is based on 15x 2027E P/E, in line with the target we use for Guming’s key competitor Luckin. The stock has traded at a 16x 12-month rolling P/E on average since listing in Feb 2025.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	-0.03	-0.07
Region: China	-0.03	-0.25
Macro:		
JPM Global Equity Sentiment	0.17	0.25
JP Morgan GBI-EM Global Div	0.25	0.17
Markit EM Composite PMI SA	-0.27	-0.17
Quant Styles:		
Size	-0.24	-0.37
LowVol	0.06	0.23
Growth	-0.18	-0.22

Investment Thesis, Valuation and Risks

Guming - H (*Overweight; Price Target: HK\$26.00*)

Investment Thesis

We like Guming for: 1) its low-profile management, focused strategy and strong execution; 2) its regional densification strategy has proved to be highly efficient and replicable (top eight provinces collectively accounted for over 80% of its GMV); 3) fresh ingredients & affordable price-centered positioning – the future prototype of the modern teahouse, in our view; and 4) best-in-class supply chain to support fast expansion (cold-chain delivery to 97% of Guming stores every two days). The “Good me” brand is well known for its attractive selling prices, especially in smaller towns. Management is aiming high with a target of 30,000 stores in five years. Guming’s store number reached 13,554 by end-2025, implying a net opening of 3,640 stores in FY25. We model 2k and 3k net openings for 2026E and 2027E (to reach 19k stores by 2027). We expect the company to deliver a 15% EPS CAGR and 15% revenue CAGR over 2025-2028E.

Valuation

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Risks to Rating and Price Target

Key downside risks to our rating and price target include: 1) rapid changes in consumer tastes; 2) partnership store management challenges as they scale up; 3) price hikes of key ingredients, such as coffee, milk and tea that could squeeze margins; 4) reputational risks like food safety incidents, labor disputes, or social media controversies that could erode consumer trust.

Guming - H: Summary of Financials

Income Statement						Cash Flow Statement					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	8,791	12,914	15,513	17,373	19,731	Cash flow from operating activities	1,321	2,409	3,110	3,732	4,162
COGS	(6,104)	(8,652)	(10,393)	(11,639)	(13,219)	o/w Depreciation & amortization	140	165	192	242	300
Gross profit	2,687	4,262	5,120	5,734	6,512	o/w Changes in working capital	(337)	(392)	(245)	(74)	(196)
SG&A	(791)	(1,068)	(1,292)	(1,447)	(1,643)	Cash flow from investing activities	(1,822)	(355)	(794)	(403)	(414)
Adj. EBITDA	1,874	3,215	3,898	4,373	5,011	o/w Capital expenditure	(7,894)	(22,654)	(794)	(403)	(414)
D&A	(140)	(165)	(192)	(242)	(300)	as % of sales	89.8%	175.4%	5.1%	2.3%	2.1%
Adj. EBIT	1,664	2,971	3,560	3,987	4,528	Cash flow from financing activities	17	70	97	(3,630)	(2,112)
Net Interest	(3)	(74)	(74)	(74)	(74)	o/w Dividends paid	-	-	-	-	-
Adj. PBT	1,684	2,913	3,486	3,913	4,454	o/w Shares issued/(repurchased)	0	0	0	0	0
Tax	(311)	(643)	(739)	(814)	(912)	o/w Net debt issued/(repaid)	121	7,593	0	0	0
Minority Interest	(15)	(6)	(8)	(9)	(10)	Net change in cash	(493)	2,021	2,414	(300)	1,636
Adj. Net Income	1,552	2,706	3,227	3,607	4,088	Adj. Free cash flow to firm	814	2,105	2,337	3,355	3,777
Reported EPS	0.71	1.32	1.33	1.49	1.69	y/y Growth	(26.9%)	158.8%	11.0%	43.5%	12.6%
Adj. EPS	0.75	1.15	1.37	1.53	1.74						
DPS	0.00	0.50	0.70	0.79	0.89						
Payout ratio	0.0%	37.8%	52.5%	52.9%	52.8%						
Shares outstanding	2,075	2,353	2,353	2,353	2,353						
Balance Sheet						Ratio Analysis					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	1,935	4,321	6,734	6,434	8,070	Gross margin	30.6%	33.0%	33.0%	33.0%	33.0%
Accounts receivable	291	588	438	471	498	EBITDA margin	21.3%	24.9%	25.1%	25.2%	25.4%
Inventories	984	1,300	1,444	1,629	1,861	EBIT margin	18.9%	23.0%	22.9%	22.9%	22.9%
Other current assets	1,680	8,894	8,908	9,172	9,436	Net profit margin	17.6%	21.0%	20.8%	20.8%	20.7%
Current assets	4,860	14,562	16,989	16,953	18,854	ROE	117.1%	68.6%	49.2%	44.5%	41.5%
PP&E	954	1,005	1,586	1,723	1,808	ROA	25.8%	23.0%	17.8%	18.3%	19.6%
LT investments	606	576	576	576	576	ROCE	93.7%	32.0%	21.6%	21.7%	22.1%
Other non current assets	899	915	915	915	915	SG&A/Sales	9.0%	8.3%	8.3%	8.3%	8.3%
Total assets	6,875	16,650	19,679	19,805	21,820	Net debt/Equity	NM	NM	NM	NM	NM
Short term borrowings	0	6,322	6,322	6,322	6,322	Net debt/EBITDA	NM	NM	NM	NM	NM
Payables	698	992	944	1,116	1,107	Sales/Assets (x)	1.5	1.1	0.9	0.9	0.9
Other short term liabilities	3,754	3,198	4,789	3,078	3,200	Assets/Equity (x)	4.5	3.0	2.8	2.4	2.1
Current liabilities	4,452	10,512	12,056	10,516	10,629	Interest cover (x)	561.5	43.4	52.6	59.0	67.6
Long-term debt	121	139	139	139	139	Operating leverage	34.2%	167.5%	98.5%	100.0%	100.0%
Other long term liabilities	310	296	315	329	346	Tax rate	18.5%	22.1%	21.2%	20.8%	20.5%
Total liabilities	4,763	10,808	12,371	10,845	10,976	Revenue y/y Growth	14.5%	46.9%	20.1%	12.0%	13.6%
Shareholders' equity	2,066	5,824	7,282	8,925	10,799	EBITDA y/y Growth	2.3%	71.5%	21.2%	12.2%	14.6%
Minority interests	46	18	26	35	44	EPS y/y Growth	6.8%	53.8%	19.2%	11.8%	13.4%
Total liabilities & equity	6,875	16,650	19,679	19,805	21,820						
BVPS	1.01	2.52	3.16	3.92	4.74						
y/y Growth	207.9%	149.4%	25.5%	24.0%	21.0%						
Net debt/(cash)	(3,602)	(6,100)	(8,513)	(8,213)	(9,849)						

Source: Company reports and J.P. Morgan estimates.

Note: Rmb in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

Underweight

2097.HK, 2097 HK

Price (20 Jul 26):HK\$222.60

▼ **Price Target (Jun-27):HK\$200.00**

Prior (Dec-26):HK\$270.00

Consumer

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J.P. Morgan Securities (Asia Pacific) Limited/ J.P. Morgan Broking (Hong Kong) Limited

Key Changes (FYE Dec)

	Prev	Cur	Δ
Revenue - 27E (Rmb mn)	39,134	37,894	-3.2%

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top)			
		6M	1Y	3Y	5Y
Value	11	22	33	13	
Growth	36	29	25	67	
Momentum	84	57	13		
Quality	9	8	7	6	
Low Vol	86	89	98		

Mixue Group - H

2026 a classic squeeze

As delivery subsidies taper off in 2026, Mixue Group has launched multiple initiatives, including (1) expanding its category offering (e.g., introducing coffee machines into Mixue stores), (2) upgrading ingredients (higher penetration of fresh milk), and (3) elevating brand positioning (e.g., Lucky Cup ambassadors). However, as we flagged on the cover page, listed companies typically face a classic squeeze when topline GMV softens, franchisees require greater support, and corporate spending rises simultaneously. **A return to a higher-growth trajectory ultimately hinges on SSS recovery, which in turn depends on sustained product innovation, category expansion, and/or improved pricing power - none of which can materialize overnight.** Adding to the challenge, the increasing convergence between coffee and tea may lead to internal dilution and intensify competition across banners; this is why we expect Lucky Cup's store network growth to stall in 2026. In our view, **investors will likely want to see clearer mitigation of cannibalization risk, along with early signs of SSS and unit economics improvement**, before revisiting the name.

- **Store expansion taking a breather.** As third-party delivery subsidies unwind, franchisees are feeling the pain. Mixue's ability to expand is not in doubt, but the cost of doing so is the key question. Faced with the trade-off between store count growth and SSS, we believe management is likely to prioritize healthier SSS during the downcycle. We conservatively assume the Mixue brand will deliver ~3k net store openings in FY26, heavily front-loaded in 1H26. Average store count growth should moderate to the high teens in 2026 from 30% in 2025. The SSS needs to pick up or stabilize before the market can forecast faster expansion. Freshly brewed coffee is expected to be a core SSS driver, but YTD penetration appears to be tracking below expectations (JPMe: 2-3k stores out of 43k Mixue stores).
- **Cannibalization risk appears unavoidable.** Our channel checks suggest franchisees of both Mixue and Lucky Cup are puzzled about Mixue's move into freshly brewed coffee. Both Mixue and Lucky Cup are heavily skewed towards lower-tier cities and counties in China, where consumer education around coffee remains well behind that of top-tier cities. Incremental capex for coffee machines (Rmb30–60k) could lengthen payback periods for Mixue stores. At the same time, Lucky Cup's unit economics could deteriorate if Mixue offers similar freshly brewed coffee in close proximity, particularly given Lucky Cup's less established brand perception among these two. In our view, the market will need to see a clearer and more differentiated strategy to alleviate cannibalization concerns.
- **1H26 preview and valuation.** We estimate a total net opening of 3,150 stores in 1H26 (much slower from 6,535 in 1H25). We forecast 1H26 revenue at Rmb16.5bn, +11% yoy, and gross margin at 29.3%, -2.3pp yoy. We estimate Mixue's 1H26 core net earnings to slightly decline by 2% yoy to Rmb2.7bn. Our PT of HK\$200 is based on a target 2027E P/E of 12x, in line with the China F&B peers' average. The stock trades at 12x 2026E P/E now (Jul 2026; vs. avg of 21x since IPO).

Figure 34: 1H26 preview: a classic squeeze

FYE 31-Dec (Rmb mn)	2025	2026E	YoY	1H25	2H25	1H26E	YoY
Total store count (k)	59,823	63,323	6%	53,014	59,823	62,973	19%
Mainland China	55,356	58,656	6%	48,281	55,356	58,456	21%
Overseas	4,467	4,667	4%	4,733	4,467	4,517	-5%
Net opening (k)	13,344	3,500	-74%	6,535	6,809	3,150	-52%
Mainland China	13,772	3,300		6,697	7,075	3,100	
Overseas	-428	200		-162	-266	50	
Income statement							
FYE 31-Dec (Rmb mn)	2025	2026E	YoY	1H25	2H25	1H26E	YoY
Revenue	33,560	36,031	7%	14,875	18,685	16,457	11%
1. Goods	31,439	33,685	7%	13,843	17,596	15,349	11%
2. Equipments	1,327	1,393	5%	652	675	652	0%
3. Franchise and related services	794	953	20%	380	414	456	20%
Cost of sales	(23,108)	(25,762)	11%	(10,168)	(12,940)	(11,635)	14%
Gross profit	10,452	10,269	-2%	4,706	5,745	4,822	2%
Gross margin	31.1%	28.5%	-2.6pp	31.6%	30.7%	29.3%	-2.3pp
Selling and distribution expenses	(2,037)	(2,306)	13%	(914)	(1,123)	(1,053)	15%
% of revenue	6.1%	6.4%	0.3pp	6.1%	6.0%	6.4%	0.3pp
Administrative expenses	(1,082)	(1,161)	7%	(438)	(644)	(510)	17%
% of revenue	3.2%	3.2%	0.0pp	2.9%	3.4%	3.1%	0.2pp
Research and development expenses	(101)	(109)	7%	(41)	(60)	(45)	11%
% of revenue	0.3%	0.3%	0.0pp	0.3%	0.3%	0.3%	0.0pp
Adjusted operating profit	7,232	6,693	-7%	3,314	3,918	3,213	-3%
Operating Margin	21.5%	18.6%	-3.0pp	22.3%	21.0%	19.5%	-2.8pp
Profit before tax	7,550	7,168	-5%	3,468	4,082	3,430	-1%
Income tax expense	(1,623)	(1,649)	2%	(750)	(873)	(755)	1%
Profit after tax	5,927	5,520	-7%	2,718	3,209	2,675	-2%
Non-controlling interests	(40)	(50)	24%	(25)	(15)	(25)	-1%
Profit attributed to ordinary shareholders	5,887	5,470	-7%	2,693	3,194	2,650	-2%
NPM	17.5%	15.2%	-2.4pp	18.1%	17.1%	16.1%	-2.0pp
Adjusted net profit	6,037	5,490	-9%	2,708	3,328	2,660	-2%
Adjusted NPM	18.0%	15.2%	-2.8pp	18.2%	17.8%	16.2%	-2.0pp
Per share data (Rmb)							
EPS - Basic	16.05	14.46	-10%	7.27	8.77	7.01	-4%
EPS - Diluted	16.05	14.46	-10%	7.32	8.77	7.01	-4%
DPS	-	-					
Dividend Payout Ratio	0.0%	0.0%	0.0pp				

Source: J.P. Morgan estimates, Company data.

Earnings forecasts

Figure 35: Key assumptions and operating metrics

FYE 31-Dec (Rmb mn)	2023	2024	2025	2026E	2027E	2028E	25-28E CAGR	1H25	2H25	1H26E	2H26E
Total store count (k)	37,565	46,479	59,823	63,323	67,523	71,523	6%	53,014	59,823	62,973	63,323
Mainland China	33,234	41,584	55,356	58,656	62,356	65,856	6%	48,281	55,356	58,456	58,656
Mixue	30,334	37,684	42,982	45,982	48,982	51,982	7%	41,181	42,982	45,782	45,982
Lucky Cup	2,900	3,900	11,000	10,800	11,000	11,200	1%	7,100	11,000	11,100	10,800
FULU			1,374	1,874	2,374	2,674	25%		1,374	1,574	1,874
Overseas	4,331	4,895	4,467	4,667	5,167	5,667	8%	4,733	4,467	4,517	4,667
YoY change	30%	24%	29%	6%	7%	6%		14%	13%	5%	1%
Mainland China	22%	25%	33%	6%	6%	6%		16%	15%	6%	0%
Mixue		24%	14%	7%	7%	6%		9%	4%	7%	0%
Lucky Cup		34%	182%	-2%	2%	2%		82%	55%	1%	-3%
Overseas	141%	13%	-9%	4%	11%	10%		-3%	-6%	1%	3%
Net opening (k)	8,582	8,914	13,344	3,500	4,200	4,000		6,535	6,809	3,150	350
Mainland China	6,046	8,350	13,772	3,300	3,700	3,500		6,697	7,075	3,100	200
Mixue		7,350	5,298	3,000	3,000	3,000		3,497	1,801	2,800	200
Lucky Cup		1,000	7,100	-200	200	200		3,200	3,900	100	-300
FULU			1,374	500	500	300			1,374	200	300
Overseas	2,536	564	-428	200	500	500		-162	-266	50	150
Total number of cups sold (bn)	7	9	12	13	14	14	6%				
YoY change	57%	22%	34%	6%	6%	6%					
ASP (Rmb)	6.5	6.4	6.4	6.4	6.3	6.3	-1%				
YoY change	-1%	0%	-1%	1%	-1%	-1%					
No. of cups sold per day per store	609	590	627	574	572	571	-3%				
YoY change	16%	-3%	6%	-8%	0%	0%					
Key financial metrics (Rmb mn)											
Total revenue	20,302	24,829	33,560	36,031	37,894	39,853	6%	14,875	18,685	16,457	19,574
YoY change	50%	22%	35%	7%	5%	5%		39%	32%	11%	5%
Mainland China	18,816	23,553	32,249	32,338	33,886	35,489	3%				
YoY change	44%	25%	37%	0%	5%	5%					
Overseas	1,487	1,275	1,311	3,693	4,008	4,364	49%				
YoY change	175%	-14%	3%	182%	9%	9%					
Gross profit	5,999	8,060	10,452	10,269	10,724	11,358	3%	4,706	5,745	4,822	5,447
YoY change	56%	34%	30%	-2%	4%	6%		38%	23%	2%	-5%
Gross margin	29.5%	32.5%	31.1%	28.5%	28.3%	28.5%		31.6%	30.7%	29.3%	27.8%
Operating profit	3,985	5,601	7,232	6,693	7,039	7,483	1%	3,314	3,918	3,213	3,480
YoY change	57%	41%	29%	-7%	5%	6%		36%	24%	-3%	-11%
Operating margin	19.6%	22.6%	21.5%	18.6%	18.6%	18.8%		22.3%	21.0%	19.5%	17.8%
Reported net profit	3,137	4,437	5,887	5,470	5,753	6,118	1%	2,693	3,194	2,650	2,819
YoY change	57%	41%	33%	-7%	5%	6%		43%	25%	-2%	-12%
Net margin	15.5%	17.9%	17.5%	15.2%	15.2%	15.4%		18.1%	17.1%	16.1%	14.4%
Adjusted net profit	3,207	4,519	6,037	5,490	5,772	6,137	1%	2,708	3,328	2,660	2,829
YoY change	58%	41%	34%	-9%	5%	6%		42%	27%	-2%	-15%
Adj. net margin	15.8%	18.2%	18.0%	15.2%	15.2%	15.4%		18.2%	17.8%	16.2%	14.5%

Source: J.P. Morgan estimates, Company data.

Figure 36: Key assumptions and forecast revisions

FYE Dec 31 (Rmb mn)	New			Previous			Change		
	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E
Total store count	63,323	67,523	71,523	63,323	68,823	73,123	0.0%	-1.9%	-2.2%
- Overseas	4,667	5,167	5,667	4,667	5,467	6,267	0.0%	-5.5%	-9.6%
- Mainland China	58,656	62,356	65,856	58,656	63,356	66,856	0.0%	-1.6%	-1.5%
Revenue	36,031	37,894	39,853	36,878	39,134	41,520	-2.3%	-3.2%	-4.0%
YoY	7%	5%	5%	10%	6%	6%	-2.5pp	-0.9pp	-0.9pp
Cost of sales	(25,762)	(27,170)	(28,495)	(25,814)	(27,394)	(29,064)	-0.2%	-0.8%	-2.0%
Gross profit	10,269	10,724	11,358	11,063	11,740	12,456	-7.2%	-8.7%	-8.8%
Gross margin	28.5%	28.3%	28.5%	30.0%	30.0%	30.0%	-1.5pp	-1.7pp	-1.5pp
Selling and distribution expenses	(2,306)	(2,349)	(2,471)	(2,213)	(2,309)	(2,450)	4.2%	1.8%	0.9%
Administrative expenses	(1,161)	(1,221)	(1,284)	(1,188)	(1,261)	(1,338)	-2.3%	-3.2%	-4.0%
Research and development expenses	(109)	(114)	(120)	(111)	(118)	(125)	-2.3%	-3.2%	-4.0%
Adjusted operating profit	6,693	7,039	7,483	7,551	8,052	8,543	-11.4%	-12.6%	-12.4%
Operating Margin	18.6%	18.6%	18.8%	20.5%	20.6%	20.6%	-1.9pp	-2.0pp	-1.8pp
Other income and gains, net	481	505	536	483	493	511	-0.3%	2.4%	4.7%
Finance costs	(5.9)	(7.6)	(7.6)	(4.2)	(5.5)	(5.5)	41.5%	39.9%	39.9%
Profit before tax	7,168	7,537	8,011	8,029	8,540	9,049	-10.7%	-11.7%	-11.5%
Income tax expense	(1,649)	(1,733)	(1,842)	(1,847)	(1,964)	(2,081)	-10.7%	-11.7%	-11.5%
Profit after tax	5,520	5,803	6,168	6,183	6,576	6,968	-10.7%	-11.7%	-11.5%
Non-controlling interests	(50)	(50)	(50)	(50)	(50)	(50)	0.0%	0.0%	0.0%
Reported net profit	5,470	5,753	6,118	6,133	6,526	6,918	-10.8%	-11.8%	-11.6%
NPM	15.2%	15.2%	15.4%	16.6%	16.7%	16.7%	-1.4pp	-1.5pp	-1.3pp
YoY	-7%	5%	6%	4%	6%	6%	-11.3pp	-1.2pp	0.3pp
Adjusted net profit	5,490	5,772	6,137	6,153	6,545	6,937	-10.8%	-11.8%	-11.5%
Adjusted NPM	15.2%	15.2%	15.4%	16.7%	16.7%	16.7%	-1.4pp	-1.5pp	-1.3pp
YoY	-9%	5%	6%	2%	6%	6%	-11.0pp	-1.2pp	0.3pp

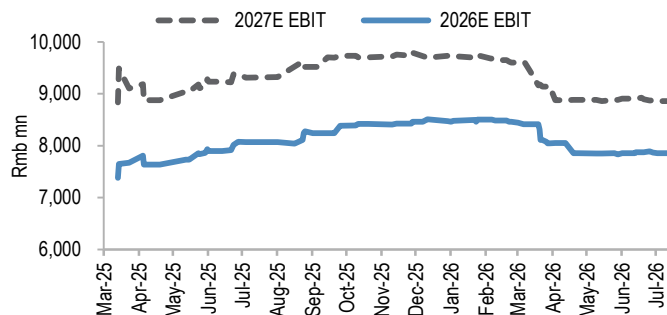
Source: J.P. Morgan estimates.

Figure 37: JPMe vs Bloomberg consensus

FYE Dec 31 (Rmb mn)	JPMe			Bloomberg consensus			JPMe vs consensus		
	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E
Revenue	36,031	37,894	39,853	37,418	41,744	46,061	-3.7%	-9.2%	-13.5%
YoY	7.4%	5.2%	5.2%	11.5%	11.6%	10.3%	-4.1pp	-6.4pp	-5.2pp
Gross margin	28.5%	28.3%	28.5%	30.4%	30.6%	30.7%	-1.9pp	-2.3pp	-2.2pp
Operating profit	6,693	7,039	7,483	7,861	8,868	9,902	-14.9%	-20.6%	-24.4%
YoY	-7.5%	5.2%	6.3%	8.7%	12.8%	11.7%	-16.2pp	-7.6pp	-5.4pp
Operating margin	18.6%	18.6%	18.8%	21.0%	21.2%	21.5%	-2.4pp	-2.7pp	-2.7pp
Adj. net profit	5,490	5,772	6,137	6,327	7,147	7,964	-13.2%	-19.2%	-22.9%
YoY	-9.1%	5.1%	6.3%	4.8%	13.0%	11.4%	-13.9pp	-7.8pp	-5.1pp
Non-GAAP net margin	15.2%	15.2%	15.4%	16.9%	17.1%	17.3%	-1.7pp	-1.9pp	-1.9pp
Adj. EPS (Rmb)	14.46	15.21	16.17	16.78	18.97	21.15	-13.8%	-19.8%	-23.5%
YoY	-9.9%	5.1%	6.3%	4.6%	13.0%	11.5%	-14.5pp	-7.9pp	-5.1pp

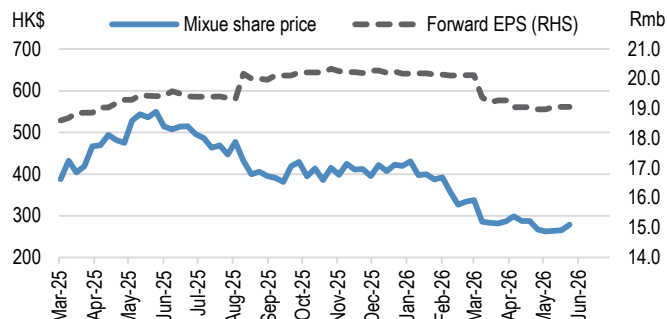
Source: J.P. Morgan estimates, Bloomberg Finance L.P. estimates.

Figure 38: Consensus EBIT revisions



Source: Bloomberg Finance L.P.

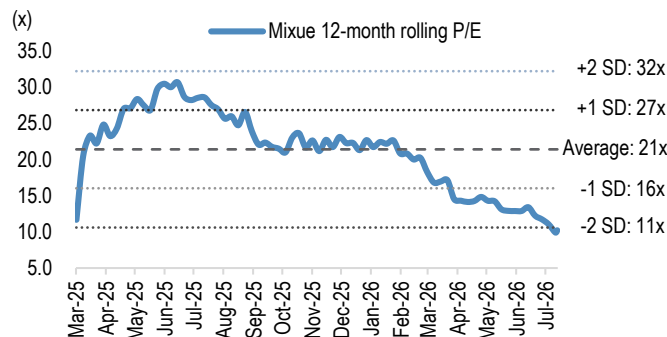
Figure 39: Share price vs consensus forward EPS



Source: Bloomberg Finance L.P.

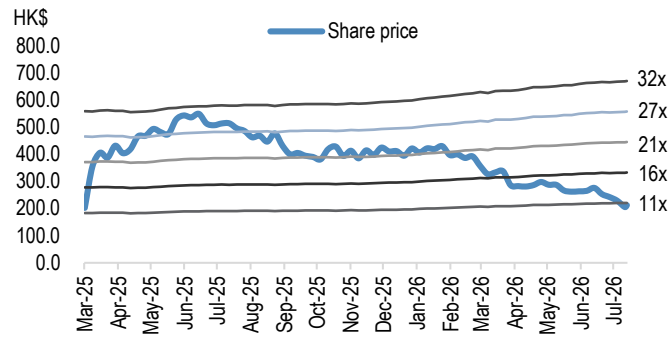
Valuation charts

Figure 40: 12-month rolling P/E



Source: J.P. Morgan, Bloomberg Finance L.P.

Figure 41: 12-month rolling P/E band chart



Source: J.P. Morgan, Bloomberg Finance L.P.

Price Performance



	YTD	1m	3m	12m
Abs	-45.7%	-12.2%	-24.0%	-55.1%
Rel	-40.4%	-15.4%	-16.6%	-53.5%

Company Data

Shares O/S (mn)	380
52-week range (HK\$)	517.00-201.20
Market cap (\$ mn)	10,778
Exchange rate	7.84
Free float (%)	27.1%
3M ADV (mn)	0.49
3M ADV (\$ mn)	16.1
Volatility (90 Day)	48
Index	HSCI
BBG ANR (Buy Hold Sell)	25 5 4

Key Metrics (FYE Dec)

Rmb in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	33,560	36,031	37,894	39,853
Adj. EBITDA	7,775	7,236	7,582	8,026
Adj. EBIT	7,232	6,693	7,039	7,483
Adj. net income	6,037	5,490	5,772	6,137
Adj. EPS	16.05	14.46	15.21	16.17
BBG EPS	15.43	16.78	18.97	21.15
Cashflow from operations	6,039	7,235	5,668	7,983
FCFF	5,250	6,508	6,433	8,830
Margins and Growth				
Revenue Growth Y/Y (%)	35.2%	7.4%	5.2%	5.2%
Gross margin	31.1%	28.5%	28.3%	28.5%
EBITDA margin	23.2%	20.1%	20.0%	20.1%
EBIT margin	21.5%	18.6%	18.6%	18.8%
Adj. EPS growth	27.9%	(9.9%)	5.1%	6.3%
Ratios				
Adj. tax rate	21.5%	23.0%	23.0%	23.0%
Interest cover	1,576.8	1,230.0	991.7	1,049.7
Net debt/Equity	NM	NM	NM	NM
Net debt/EBITDA	NM	NM	NM	NM
ROCE	28.8%	19.0%	16.6%	15.3%
ROE	30.6%	20.2%	17.7%	16.3%
Valuation				
FCFF yield	7.3%	8.9%	8.8%	12.1%
Dividend yield	0.0%	0.0%	2.4%	2.5%
EV/Revenue	1.5	1.2	1.1	0.9
EV/EBITDA	6.5	6.1	5.6	4.7
Adj. P/E	12.0	13.3	12.7	11.9

Summary Investment Thesis and Valuation

Investment Thesis

Mixue has a distinctive position in the China FMD sector – a combination of value proposition + low-tier penetration + scalability + logistics + IP (Snow King). However, Mixue's multi-year hyper-growth phase is ending, in our view, and the stock now faces a sharp slowdown as management signals a recalibration in 2026. Mixue will be in a growth to value transition in the next 12 months, facing both external headwinds (subsidy unwind) and internal structural headaches. We are Underweight on Mixue, supported by three key pillars: (1) muted growth (LMSD revenue and earnings CAGRs for 2025-28E), (2) margin squeeze, and (3) cannibalization risks.

Valuation

Our Jun-27 PT of HK\$200 is based on a target 2027E P/E of 12x, in line with the China F&B peers' average. The stock trades at 12x 2026E P/E (Jul 2026; vs. avg of 21x since IPO).

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.34	0.18
Region: China	0.01	-0.18
Macro:		
JPM China A-shares Sentiment	0.34	0.25
JPM Forecast Revision EM	0.00	-0.23
JPM Global Equity Sentiment	0.21	0.17
Quant Styles:		
Size	-0.28	-0.34
Quality	-0.28	-0.28
Momentum	-0.15	-0.28

Investment Thesis, Valuation and Risks

Mixue Group - H *(Underweight; Price Target: HK\$200.00)*

Investment Thesis

Mixue has a distinctive position in the China FMD sector – a combination of value proposition + low-tier penetration + scalability + logistics + IP (Snow King). However, Mixue's multi-year hyper-growth phase is ending, in our view, and the stock now faces a sharp slowdown as management signals a recalibration in 2026. Mixue will be in a growth to value transition in the next 12 months, facing both external headwinds (subsidy unwind) and internal structural headaches. We are Underweight on Mixue, supported by three key pillars: (1) muted growth (LMSD revenue and earnings CAGRs for 2025-28E), (2) margin squeeze, and (3) cannibalization risks.

Valuation

Our Jun-27 PT of HK\$200 is based on a target 2027E P/E of 12x, in line with the China F&B peers' average. The stock trades at 12x 2026E P/E (Jul 2026; vs. avg of 21x since IPO).

Risks to Rating and Price Target

Key upside risks to our rating and price target include: 1) new product launches and supply chain efforts to gain users and support store UE; 2) successful pass-through cost inflation to franchisees; 3) higher-than-expected revenue contribution from FULU Fresh Beer.

Downside risks include: 1) further margin pressure due to cost inflation; 2) higher-than-expected store closure rate of Lucky Cup due to cannibalization risk; 3) later turnaround of international markets.

Mixue Group - H: Summary of Financials

Income Statement						Cash Flow Statement					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	24,829	33,560	36,031	37,894	39,853	Cash flow from operating activities	6,009	6,039	7,235	5,668	7,983
COGS	(16,769)	(23,108)	(25,762)	(27,170)	(28,495)	o/w Depreciation & amortization	419	543	543	543	543
Gross profit	8,060	10,452	10,269	10,724	11,358	o/w Changes in working capital	1,077	(486)	1,345	(507)	1,442
SG&A	(2,355)	(3,118)	(3,467)	(3,571)	(3,755)	Cash flow from investing activities	(7,019)	(6,364)	(922)	(957)	(999)
Adj. EBITDA	6,020	7,775	7,236	7,582	8,026	o/w Capital expenditure	(1,448)	(685)	(746)	(746)	(746)
D&A	(419)	(543)	(543)	(543)	(543)	as % of sales	5.8%	2.0%	2.1%	2.0%	1.9%
Adj. EBIT	5,601	7,232	6,693	7,039	7,483	Cash flow from financing activities	(277)	3,505	(115)	(118)	(1,844)
Net Interest	(6)	(5)	(6)	(8)	(8)	o/w Dividends paid	0	0	0	0	(1,726)
Adj. PBT	5,811	7,550	7,168	7,537	8,011	o/w Shares issued/(repurchased)	0	3,665	0	0	0
Tax	(1,356)	(1,623)	(1,649)	(1,733)	(1,842)	o/w Net debt issued/(repaid)	(184)	4	(6)	(8)	(8)
Minority Interest	(18)	(40)	(50)	(50)	(50)	Net change in cash	(1,287)	3,094	6,198	4,592	5,139
Adj. Net Income	4,519	6,037	5,490	5,772	6,137	Adj. Free cash flow to firm	4,471	5,250	6,508	6,433	8,830
Reported EPS	12.32	15.65	14.41	15.15	16.12	y/y Growth	123.0%	17.4%	24.0%	(1.2%)	37.3%
Adj. EPS	12.55	16.05	14.46	15.21	16.17						
DPS	0.00	0.00	0.00	4.55	4.83						
Payout ratio	0.0%	0.0%	0.0%	30.0%	30.0%						
Shares outstanding	360	376	380	380	380						
Balance Sheet						Ratio Analysis					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	4,335	7,429	13,627	18,220	23,359	Gross margin	32.5%	31.1%	28.5%	28.3%	28.5%
Accounts receivable	26	30	40	34	44	EBITDA margin	24.2%	23.2%	20.1%	20.0%	20.1%
Inventories	2,215	3,673	2,892	3,660	2,821	EBIT margin	22.6%	21.5%	18.6%	18.6%	18.8%
Other current assets	4,069	5,176	4,464	5,255	4,456	Net profit margin	18.2%	18.0%	15.2%	15.2%	15.4%
Current assets	11,896	21,540	27,026	32,410	36,750	ROE	35.5%	30.6%	20.2%	17.7%	16.3%
PP&E	5,318	5,459	5,649	5,840	6,031	ROA	26.3%	23.9%	16.3%	14.6%	13.7%
LT investments	7	7	7	7	7	ROCE	33.4%	28.8%	19.0%	16.6%	15.3%
Other non current assets	2,145	3,178	3,178	3,178	3,178	SG&A/Sales	9.5%	9.3%	9.6%	9.4%	9.4%
Total assets	19,783	30,794	36,659	42,457	47,253	Net debt/Equity	NM	NM	NM	NM	NM
Short term borrowings	0	28	28	28	28	Net debt/EBITDA	NM	NM	NM	NM	NM
Payables	1,767	2,213	2,446	2,467	2,685	Sales/Assets (x)	1.4	1.3	1.1	1.0	0.9
Other short term liabilities	2,750	3,380	3,582	3,651	3,881	Assets/Equity (x)	1.4	1.3	1.2	1.2	1.2
Current liabilities	4,517	5,621	6,056	6,146	6,595	Interest cover (x)	945.5	1,576.8	1,230.0	991.7	1,049.7
Long-term debt	-	-	-	-	-	Operating leverage	181.9%	82.8%	(101.3%)	100.0%	121.9%
Other long term liabilities	51	146	148	150	153	Tax rate	23.3%	21.5%	23.0%	23.0%	23.0%
Total liabilities	4,723	6,025	6,479	6,585	7,049	Revenue y/y Growth	22.3%	35.2%	7.4%	5.2%	5.2%
Shareholders' equity	14,956	24,449	29,809	35,452	39,734	EBITDA y/y Growth	41.6%	29.2%	(6.9%)	4.8%	5.8%
Minority interests	105	320	370	420	470	EPS y/y Growth	40.9%	27.9%	(9.9%)	5.1%	6.3%
Total liabilities & equity	19,783	30,794	36,659	42,457	47,253						
BVPS	41.54	65.01	78.52	93.39	104.67						
y/y Growth	42.3%	56.5%	20.8%	18.9%	12.1%						
Net debt/(cash)	(11,109)	(19,962)	(26,160)	(28,081)	(33,220)						
						Valuation					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
						P/E (x)	15.3	12.0	13.3	12.7	11.9
						P/BV (x)	4.6	3.0	2.4	2.1	1.8
						EV/EBITDA (x)	9.8	6.5	6.1	5.6	4.7
						Dividend Yield	0.0%	0.0%	0.0%	2.4%	2.5%

Source: Company reports and J.P. Morgan estimates.

Note: Rmb in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

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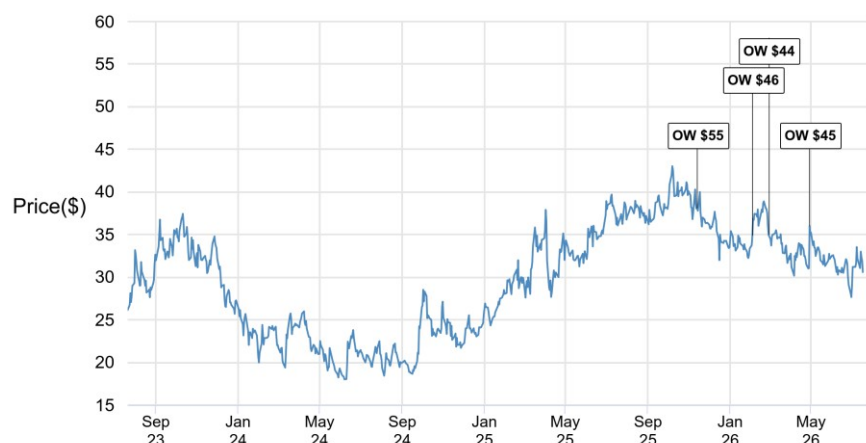
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Luckin Coffee (LKNCY, LKNCY US) Price Chart



Date	Rating	Price (\$)	Price Target (\$)
14-Nov-25	OW	38.08	55
04-Feb-26	OW	34.89	46
28-Feb-26	OW	34.98	44
30-Apr-26	OW	36.00	45

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Nov 13, 2025. All share prices are as of market close on the previous business day.

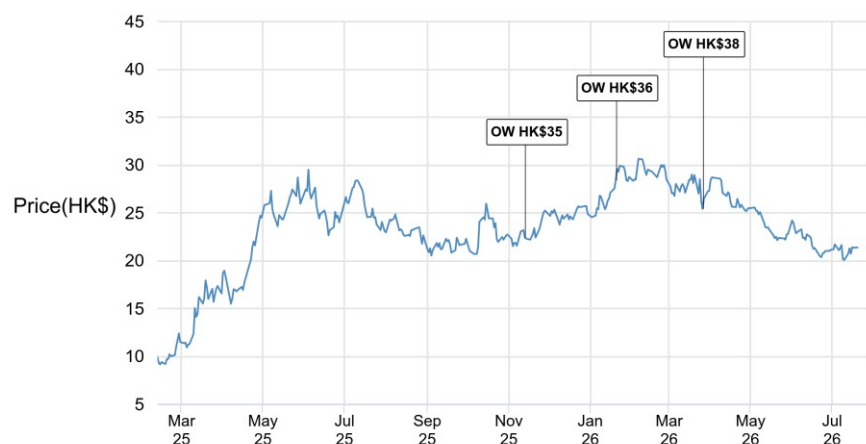
Chagee (CHA, CHA US) Price Chart



Date	Rating	Price (\$)	Price Target (\$)
14-Nov-25	UW	15.32	14.2
01-Dec-25	UW	14.99	12.4
13-Feb-26	N	10.20	11.5
02-Apr-26	OW	9.16	16
29-May-26	OW	10.16	15

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Nov 13, 2025. All share prices are as of market close on the previous business day.

Guming - H (1364.HK, 1364 HK) Price Chart



Date	Rating	Price (HK\$)	Price Target (HK\$)
14-Nov-25	OW	22.40	35
21-Jan-26	OW	28.38	36
27-Mar-26	OW	25.42	38

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Nov 13, 2025. All share prices are as of market close on the previous business day.

Mixue Group - H (2097.HK, 2097 HK) Price Chart



Date	Rating	Price (HK\$)	Price Target (HK\$)
14-Nov-25	OW	417.80	521
26-Mar-26	UW	322.00	270

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
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Completed 21 Jul 2026 01:05 AM HKT

Disseminated 21 Jul 2026 01:06 AM HKT